# ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) FACTORS AND THEIR IMPACT ON FINANCIAL PERFORMANCE OF INDIAN BANKING SECTOR

Master Thesis submitted in partial fulfillment of the requirements for the award of the Degree

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I hereby declare that **"ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) FACTORS AND THEIR IMPACT ON FINANCIAL PERFORMANCE OF INDIAN BANKING SECTOR"** is the result of the project work carried out by me under the guidance of **DR. RITHIKA SINHA** in partial fulfillment for the award of Master's Degree in Business Administration by Bengaluru City University.

I also declare that this project is the outcome of my own efforts and that it has not been submitted to any other university or Institute for the award of any other degree or Diploma or Certificate.

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This is to certify that Mr. **PRAFUL (P18UZ22M015036)** of **BCU SCHOOL OF MANAGEMENT STUDIES, BENGALURU CITY UNIVERSITY,** has undertaken Master Thesis entitled. **"ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) FACTORS AND THEIR IMPACT ON FINANCIAL PERFORMANCE OF INDIAN BANKING SECTOR"** under my Guidance and it has not been submitted to any other university or Institute for the award of any other degree or Diploma or Certificate.

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# CHAPTER -1

## 1. INTRODUCTION

### 1.1 Overview of the topic

ESG factors are gaining importance in global markets as sustainability efforts grow to enhance productivity and economic growth. These factors significantly influence investor choices, especially since banks are essential to both economic and environmental stability. This trend underscores the rising relevance of ESG in banking, with important impacts on long-term value, risk management, and the financial performance of Indian banks.

#### 1. Description of the topic

ESG factors - Environmental, Social, and Governance have recently appeared as a significant aspect of financial analysis, especially within the Indian banking sector. Once considered peripheral to corporate strategies, these dimensions are now woven into the fabric of corporate strategy itself, influencing both the financial performance of banks and their appeal to various investors and the public. Banks, therefore, are tasked with promoting sustainable economic growth and acknowledging responsibilities that lie beyond the very usual financial measurement. This shift is significant for the banks and forces them to add sustainability and ethicality in their strategies.

Detractors have challenged corporate governance since the major banking scandals showed that there was something fundamentally wrong with governance and social responsibility (Esteban-Sanchez et al., 2017). As banks face a challenging financial environment, their increasing need for robust systems of governance that guarantee responsibility and transparency is growing. Banks in India support the country's financial growth as it adopts

sustainable practices while considering environmental issues such as climate change by financing green bonds and renewable energy projects.

Social factors play a key role in how Indian banks work, especially when it comes to managing relationships with stakeholders. Initiatives aimed at promoting financial inclusion allow banks to help poor groups, small and medium-sized enterprises (SMEs), and rural development. Efforts focused on social responsibility, like promoting diversity and engaging with communities, help reduce inequality and build trust. Good governance practices ensure that rules and policies are set up to support transparency and accountability, and regulatory oversight emphasizes the importance of strong governance, effective decision-making and operational integrity.

Research suggests that integrating ESG (Environmental, Social, and Governance) factors can positively affect financial performance. This means that adopting ESG practices can help banks manage operational risks better, attract socially responsible investments, and create long-term value (Friede et al., 2015). However, studies on how ESG affects financial performance have shown mixed results, saying a need for more research in this area (Huang, 2019). This study aims to fill that gap by examining how ESG integration influences the financial performance of Indian banks and exploring the unique challenges they face within their regulatory environments.

One notable trend is green finance, where Indian banks are increasingly funding projects that promote environmental sustainability. Since 2000, the issuance of green bonds has grown significantly, allowing banks to invest in clean energy projects that help reduce carbon emissions. For instance, Yes Bank’s investment in green bonds aligns with India’s goal of achieving net-zero emissions. Climate risk assessment has also become more important, with banks incorporating climate risk into their stress-testing frameworks to meet international standards and strengthen their resilience against climate-related disruptions.

Banks like HDFC and ICICI use standardized ESG reporting frameworks, such as the Global Reporting Initiative (GRI) and Sustainability Accounting Standards Board (SASB), to share

information about their environmental, social, and governance practices. Enhanced corporate social responsibility (CSR) activities in the banking sector support financial inclusion and aid underserved communities. Programs that focus on women's entrepreneurship, education, and healthcare reflect banks' commitment to addressing important social issues. The growth of social impact investing displays the sector's evolving focus, with investments in social enterprises that target affordable housing, health programs, and education for disadvantaged communities.

Recent banking scandals have broken the public trust and explained how important good governance, as well as compliance, is for banks. In this regard, SEBI and RBI are encouraging banking institutions to strengthen their praxis in respect of transparency and governance. The rising interest among investors in ESG options is driving interest in mutual funds and other investments cantered on these factors. In this regard, a significant commitment to ESGs can help banks manage their risks and create value.

ESG would be a significant determinant in the future of Indian banking. Green finance, along with sustainable investment products, is gaining momentum in addition to regulations and technological innovation that would help track and measure ESG practices, thus changing the way Indian banks work soon. It is to be expected that Indian banks, in this respect, become early adopters of these practices, enhancing sustainable growth, and influencing society positively.

It explains how ESG factors are influencing the Indian banking system's financial performance. Understanding this topic teaches readers the balance between generating profits and sustainability in an ESG era for the banks. Findings would be handy to use in practical applications related to ESG in banking practice as well.

## 1.2 THEORETICAL BACKGROUND OF THE STUDY

### 1.2.1 Meaning of the Study:

This study explores how environmental, social, and governance (ESG) factors shape the financial performance of Indian banks. Think of ESG factors as guidelines that go beyond just numbers—they show whether a bank works responsibly and ethically. The study also dives into how these ESG principles can be woven into a bank's strategy, helping it manage risks, grow profits, and build lasting value.

Lately, Indian banks have slowly but surely been turning their attention to ESG issues. This change is not random; it is driven by stricter rules, investor pressure, and a worldwide focus on sustainability. The study looks at how banks deal with risks, work to be more efficient, and keep a solid reputation, all of which help them stay competitive in today's market.

### 1.2.2 Definition of the Study:

**Environmental, Social, and Governance (ESG) Factors**: ESG factors are a way to measure how responsibly a company works, especially when it comes to sustainability and ethics.

- **Environmental**: This part looks at how a company treats the environment. It includes things like its impact on climate change, how it conserves resources, manages waste, and controls pollution. In other words, it is about how well the company takes care of the planet.
- **Social**: This piece is all about people. It considers how a company interacts with its employees, suppliers, customers, and the communities it serves. It covers things like fair treatment of workers, respect for human rights, and involvement in local communities—focusing on the company's social values and impact.
- **Governance**: Governance looks at how a company to run. This includes leadership practices, executive pay, audits, internal controls, and respecting the rights of shareholders. It is about making sure the company works fairly and transparently.

In the banking world, ESG factors are crucial. They influence how banks perform financially, guide investor decisions, and help banks stay in line with regulations. By focusing on ESG, banks can manage their reputations better and aim for long-term success and profitability.

### 1.2.3 Nature of the Study:

This study aims to investigate the impact of Environmental, Social, and Governance (ESG) factors on the financial performance of banks in the Indian banking sector. With the growing significance of ESG considerations in global finance, this study explores how Indian banks integrate these non-financial factors into their operational and strategic decisions and examines the resulting effects on financial metrics, including profitability, asset quality, and overall financial health.

The research employs a **mixed-method approach** that integrates both quantitative and qualitative analyses. Quantitative data is collected from multiple sources, including regulatory bodies like the **Reserve Bank of India (RBI)** and industry reports that provide ESG scores, financial performance metrics, and other key indicators for Indian banks. Other data for analysis is sourced from **Kaggle**, where ESG-related and financial datasets are readily available for research purposes. The primary analytical tools include **Excel** for data processing, **Python** for statistical analysis, and **Tableau** for data visualization. These tools help a comprehensive, data-driven exploration of trends and correlations between ESG variables and financial outcomes. **Statista industry reports** and **research papers** supplement this data with context and insights on ESG trends in India's banking sector.

In addition to quantitative data, a **survey** was conducted using structured questionnaires targeting customers, investors, bank employees, and other experienced professionals in the banking and financial sector. The survey gathers insights into the perceived importance of ESG factors, their application in bank operations, and their impact on financial performance. This qualitative data enriches the study, providing a practical understanding of the challenges and benefits of ESG integration from those directly or indirectly connected with the banking industry.

Furthermore, the study uses Tableau to create a detailed **financial performance dashboard**. This dashboard visually presents complex data in an intuitive format, making it easier to find patterns and compare banks with various levels of ESG integration.

### 1.2.4 Functions of the study

The primary functions of this study are to investigate, analyse, interpret, and offer actionable insights into the impact of Environmental, Social, and Governance (ESG) factors on the financial performance of banks within the Indian banking sector. The specific functions of the study are as follows:

**Evaluation of ESG Factors**

The study evaluates the key environmental, social, and governance factors relevant to the Indian banking sector. By assessing these factors, the study aims to find which ESG components are prioritized by banks and how these align with industry best practices and regulatory guidelines.

1. **Analysis of Financial Performance**
   This function involves analyzing the financial metrics of Indian banks, such as profitability, asset quality, and stability, to find how ESG factors correlate with financial performance. The study uses financial data from regulatory sources, including the Reserve Bank of India (RBI), industry reports, and datasets from platforms like Kaggle, ensuring a robust analysis.
2. **Data Integration and Visualization**
   Using analytical tools such as Excel, Python, and Tableau, the study processes and visualizes data to present trends and insights. A financial performance dashboard in Tableau is developed to display complex data in a user-friendly format, enabling clear comparisons between banks with varying ESG scores.
3. **Survey-Based Insight Collection**
   To capture real-world insights, the study conducts a survey through structured questionnaires targeting customers, investors, bank employees, and other experienced

professionals. This qualitative data collection function allows the study to incorporate diverse perspectives on the perceived impact and challenges of ESG integration in banking.

4. **Correlation Analysis**
   By applying statistical models, the study examines correlations between ESG factors and financial outcomes. This function is critical for finding any significant relationships between ESG practices and financial health, helping to substantiate or challenge assumptions about the financial benefits of ESG integration.
5. **Identification of Trends and Patterns**
   Through data analysis and visualization, the study finds patterns in ESG practices and financial performance across different banks. This function is essential to highlight best practices and potential areas of improvement, offering a comparative view of banks with differing ESG profiles.
6. **Provision of Insights and Recommendations**
   Based on the findings, the study provides practical recommendations for banks to enhance ESG integration, with the aim of improving financial performance. These insights are intended to guide decision-making for investors, banking professionals, and financial analysts in evaluating the financial implications of ESG.
7. **Contribution to the Field of ESG and Finance**
   Lastly, the study aims to contribute to the academic and professional discourse on ESG and finance in the Indian context, addressing gaps in the existing literature. This function strengthens the understanding of ESG's role within the financial performance of Indian banks and encourages future research in this field.

### 1.2.5 Advantages of the Study:

This study provides a comprehensive understanding of how Environmental, Social, and Governance (ESG) factors influence the financial performance of Indian banks, offering valuable insights into how sustainable practices can affect profitability, asset quality, and resilience. By focusing on the data-driven relationship between ESG integration and financial

outcomes, the study enables banks, investors, and analysts to make informed, strategic decisions grounded in robust data and visualizations created through tools like Excel, Python, and Tableau.

Beyond the quantitative analysis, this research yields practical insights for bank managers and policymakers, guiding them on how to integrate ESG factors effectively within banking operations and aligning these practices with regulatory standards. The findings help investors and financial analysts assess the risks and returns associated with banks that prioritize ESG principles, supporting responsible investment decisions that balance financial growth with long-term sustainability.

In addition to these practical benefits, the study contributes to the existing body of research on ESG in banking, particularly within the Indian context, where related literature is still appearing. By filling this gap, the study shows a foundation for future research that could further explore ESG's influence on financial performance and provide more context-specific recommendations for the Indian banking sector.

Through benchmarking and comparative analysis, this study helps the identification of best practices among Indian banks, offering valuable examples that other institutions may wish to emulate. The inclusion of survey data from customers, investors, bank employees, and other professionals provides diverse perspectives on ESG, fostering a broader awareness of the significance of sustainability in banking. This awareness has the potential to drive further adoption of ESG practices, influencing both corporate culture and customer expectations.

The study also offers a user-friendly Tableau dashboard that visually stands for the relationship between ESG metrics and financial outcomes. This interactive tool simplifies the interpretation of complex data, making it accessible to a wider audience and useful for tracking ESG affects over time.

### 1.2.6 FUTURE PROSPECTS

The results of this study on Environmental, Social, and Governance (ESG) factors and their effect on the financial performance of Indian banks open several exciting opportunities for future research and practical applications.

One key area for the future is the improvement of ESG measurements. As organizations like the Reserve Bank of India (RBI) continue to develop clearer guidelines for ESG reporting, it will become easier to compare ESG data across different banks. This standardization will help researchers better understand how specific ESG practices affect a bank's financial health and growth.

Another promising area is the use of advanced data analysis and machine learning. Future studies could use these technologies to explore more complex relationships between ESG factors and financial results. For example, researchers could create models that predict a bank's financial performance based on its ESG practices, helping banks and investors make smarter decisions.

Expanding the research to include other types of financial institutions is also a great prospect. This means looking at how ESG factors affect not just traditional banks, but also non-banking financial companies (NBFCs), microfinance institutions, and fintech companies in India. Understanding ESG's role in these different areas will give a more complete picture of sustainable finance in the country.

As more customers become aware of and care about sustainability, future studies could investigate how customer opinions influence banks' ESG strategies. This would involve looking at how what customers think about sustainability affects their banking choices and how banks respond by changing their ESG practices. Such research can show how important customer views are in encouraging banks to adopt more sustainable practices.

## 1.3 Industry profile

### 1.3.1 Structure of the Indian Banking Sector

The Indian banking sector has a well-established and structured framework that consists of several types of banks serving various segments of the economy. This structure is designed to meet the diverse needs of India's vast and dynamic market, from supporting rural communities and small businesses to helping large-scale financial transactions in urban areas.

At the top level, the **Reserve Bank of India (RBI)** acts as the central regulatory authority, overseeing and guiding the entire banking system. The RBI formulates policies, regulates monetary stability, and ensures the health of the banking sector by setting guidelines that all banks in India must follow. Its responsibilities include supervising banks, managing inflation and interest rates, and promoting financial inclusion.

The Indian banking sector can be broadly classified into two main types: **Scheduled** and **Non-Scheduled Banks**.

1. **Scheduled Banks**
   Scheduled banks are those included in the RBI's Second Schedule, which qualifies them to access RBI's financial services and adhere to specific regulations. These banks are further divided into several categories:
   - **Public Sector Banks (PSBs):** Public sector banks are majority-owned by the government. These banks, including prominent names like the State Bank of India (SBI), Punjab National Bank, and Bank of Baroda, play a crucial role in financial inclusion by extending banking services to remote areas and fulfilling government-mandated social aims.
   - **Private Sector Banks:** Private sector banks are owned by private entities. (—Private vs Public Sector Banks - Under30CEO‖) Examples include HDFC Bank, ICICI Bank, and Axis Bank. These banks are known for their customer-

centric services, technological advancements, and competitive business models.

- **Foreign Banks:** These banks work as branches of international banks in India, such as Citibank, HSBC, and Standard Chartered. They typically serve multinational corporations, high-net-worth individuals, and specialized financial needs.
- **Regional Rural Banks (RRBs):** RRBs are set up to provide banking services to rural areas, especially to support agricultural activities and small enterprises. These banks are partially owned by the government, the sponsoring bank, and state governments, with a focus on rural development.

2. **Non-Scheduled Banks**

   Non-scheduled banks are smaller banks that do not fall under the RBI's Second Schedule. They are often locally focused and may have limited services compared to scheduled banks, though they still play an essential role in serving niche markets and specific local needs.

In addition to these categories, **cooperative banks** are another important part of the Indian banking sector, providing financial services primarily in rural and semi-urban areas. Cooperative banks are owned by their members, who are often residents or small-scale business owners. They are regulated by both the RBI and respective state governments, with an emphasis on lending to the agriculture sector and small-scale industries.

In recent years, the Indian banking sector has seen the emergence of inexperienced players such as **Payments Banks** and **Small Finance Banks**. Payments Banks, such as Paytm Payments Bank and Airtel Payments Bank, are designed to promote financial inclusion by offering simple banking products like deposits and fund transfers, though they are restricted from providing loans. Small Finance Banks, on the other hand, aim to serve the unbanked and underbanked sections of society by offering a range of financial services, including loans, particularly to micro-enterprises and small businesses.

### 1.3.2 Recent Trends in the Indian Banking Industry

The Indian banking industry is changing fast, thanks to recent technologies, updated regulations, and a stronger focus on social and environmental responsibility. Public Sector Banks (PSBs), which are owned by the government, play an essential role in these changes. Here are some key trends that show how PSBs are adapting and evolving in today's environment.

1. Shift to Digital Banking

Banks in India, including PSBs, are increasingly using digital tools to improve customer service and cut costs. From online banking to mobile apps and digital loans, PSBs are investing in technology to stay competitive. This digital shift also helps PSBs reach more people in both cities and rural areas, making banking more accessible and convenient.

2. Focus on Financial Inclusion

PSBs have a long-standing mission to serve people from all backgrounds, especially those in rural and underserved areas. Programs like the Pradhan Mantri Jan Dhan Yojana (PMJDY) have helped millions of people open bank accounts, access loans, and get insurance. This focus on inclusion helps drive economic growth and addresses social responsibility, a key part of the Environmental, Social, and Governance (ESG) focus.

3. Support for Sustainable Projects

As concerns about the environment grow, PSBs are starting to finance more eco-friendly projects, such as renewable energy initiatives (solar and wind energy) and businesses that prioritize sustainability. The Reserve Bank of India (RBI) is encouraging banks to consider environmental factors in their lending, pushing PSBs to help meet India’s environmental goals as part of their broader ESG commitments.

4. Tightened Regulations and Compliance

The Indian government and the RBI have introduced stricter rules for banks to ensure they manage risks better and stay financially sound. PSBs, which manage a large share of India's banking assets, must meet these exacting standards to manage issues like bad loans (NPAs) and improve their governance. Following these regulations helps PSBs become more accountable and transparent, strengthening their reputation and stability.

5. Mergers and Consolidation

Create stronger, more efficient banks, the government has been merging smaller PSBs into larger ones. These mergers are aimed at building banks that are more resilient and capable of competing in the global market. Mergers can also improve the way these banks are run, help them serve customers better, and make their resources go further.

6. Improved Risk Management

PSBs have been working hard to improve how they manage risks, especially with the issue of bad loans. With guidance from the RBI, PSBs are now more initiative-taking in assessing and managing risks, which helps them, stay financially stable and supports better governance.

7. Growing Focus on ESG Practices

There is a rising awareness in Indian banking about the importance of ESG, and PSBs are gradually making these principles part of their daily operations. This includes lending more to socially and environmentally responsible sectors, increasing transparency, and improving governance. PSBs are focusing more on sustainability and responsible banking, partly due to international pressure and government policies.

### 1.3.3 Challenges Facing the Indian Banking Sector

The Indian banking sector, particularly Public Sector Banks (PSBs), faces a number of significant challenges. These issues affect the sector's ability to support financial stability,

improve efficiency, and meet the growing expectations around social and environmental responsibility. Here are some of the key challenges:

1. High Levels of Non-Performing Assets (NPAs)

One of the most pressing issues for Indian banks, especially PSBs, is the important level of non-performing assets (NPAs). NPAs are loans that borrowers are unable to repay, and a high NPA ratio weakens a bank's financial health, reduces profitability, and limits its ability to lend to new customers. For PSBs, NPAs are particularly challenging as they often lend to priority sectors like agriculture and small businesses, which can be more vulnerable to economic downturns.

2. Need for Improved Risk Management

The complexity of banking operations and the increasing reliance on digital platforms mean that banks need better risk management practices. Cyber security threats, fraud, and operational risks are rising with the move to digital banking, requiring more investment in secure technologies and risk assessment systems. PSBs often face resource limitations, which makes it harder for them to implement advanced risk management tools compared to private banks.

3. Limited Capital and Profitability

Many PSBs struggle with limited access to fresh capital and lower profitability compared to private banks. Low profitability affects their ability to expand services, make technology investments, and improve customer experience. The government often injects funds into PSBs to strengthen their capital base, but this is a temporary solution, and there is a need for more sustainable ways to raise capital and boost profitability.

4. Regulatory and Compliance Burden

PSBs must follow a wide range of regulations from the Reserve Bank of India (RBI) and other regulatory bodies. While these regulations are essential for supporting stability and transparency, they can also place a heavy administrative burden on banks. Compliance costs are high, and PSBs, with limited resources, often struggle to keep up with these requirements. This can limit their flexibility and slow down decision-making.

5. Pressure to Balance Social Goals with Profitability

PSBs play an essential role in financial inclusion, lending to underserved areas and supporting government schemes. However, the need to balance these social goals with profitability can be challenging. Lending to priority sectors sometimes leads to higher risks and lower returns, creating a financial strain on PSBs. Balancing social obligations with the need to still be financially practical is an on-going challenge.

6. Slow Adaptation to Digital and Technological Advancements

The banking industry is moving towards digital services, with customers expecting quick, convenient access to banking solutions. However, PSBs often have outdated technology infrastructure, which limits their ability to offer modern digital services at the same level as private banks and fintech companies. Upgrading these systems requires significant investment, training, and time, and the slower adoption of recent technologies can make it harder for PSBs to compete.

7. Need for Improved Governance and Transparency

Good governance is crucial for building public trust and ensuring accountability, especially in PSBs that manage a large portion of public funds. However, governance challenges, such as political influence and out-dated management practices, continue to affect much PSBs. Improving transparency, decision-making processes, and reducing political interference are important steps for PSBs to strengthen their governance structures and remain competitive.

# CHAPTER- 2

## 2. REVIEW OF LITERATURE AND RESEARCH DESIGN

### 2.1 REVIEW OF LITERATURE AND GAP

#### 2.1.1 Review of Literature

This section reviews studies on the impact of Environmental, Social, and Governance (ESG) factors, corporate governance, transparency, and methods for evaluating bank performance. These topics have gained importance as banks aim to support sustainable development while achieving financial stability.

1. The Role of ESG Factors in Banking

In recent years, ESG factors, focusing on environmental responsibility, social contributions, and strong governance, have become central to growth in the banking sector. Following the 2015 Paris Agreement, banks worldwide began focusing more on sustainability, with global investments in ESG-related funds growing by over 170% (Ermakova & Vildanova, 2022). ESG factors are linked to the United Nations Sustainable Development Goals (SDGs), which encourage companies to create positive societal impact.

ESG is an extension of Corporate Social Responsibility (CSR) by prioritizing sustainability, risk management, and long-term success over short-term profit. Traditional reporting focused mostly on financial results, while ESG reporting considers how responsibly a company runs. This approach has gained support from investors, regulators, and the public, who see ESG factors as crucial to a company's future success (Zhang, Wang & Dong, 2023).

The COVID-19 pandemic highlighted the importance of sustainable business practices, with companies that followed strong ESG factors showing greater resilience during the crisis (Khan et al., 2021; Zahid et al., 2022). This has increased the focus on ESG as a means of both managing risk and supporting societal goals.

### 2. Corporate Governance and Transparency

Good corporate governance—involving ethical management and transparency—builds trust with investors and other stakeholders. Studies show that banks with important levels of transparency and quality information-sharing tend to perform better financially. However, researchers are still examining how several types of disclosures, such as voluntary versus mandatory, impact performance.

Transparency and disclosure (T&D) are especially important in banking, which is highly regulated. The monetary crisis of 2008 underscored the need for responsible banking, and transparency is now part of international standards, such as the Basel II Accord. In the banking context, T&D means providing clear, reliable information on performance, risks, and governance, helping investors make informed decisions and potentially reducing stock price fluctuations by lowering uncertainty (Bushee & Noe, 2000).

Yet, excessive transparency can sometimes create challenges. Banks are complex organizations, and their disclosures may not always be fully understood by all stakeholders (Allenspach, 2009a; 2009b). The banking sector is unique, with more regulations and higher debt levels compared to other industries, which makes their T&D needs distinct.

### 3. ESG Factors and Financial Results

Several studies say that strong ESG factors can positively impact financial performance in banks. For example, Jadhav et al. (2020) found that Indian banks incorporating ESG practices, such as green finance, sustainable lending, and financial inclusion, achieved greater customer trust and profitability. Similarly, Mehta et al. (2021) saw that banks with strong

governance structures performed better in the stock market, especially during economic uncertainties.

Other researchers have found similar trends globally. Chollet and Sandwidi (2018) reported that sound governance and social practices help banks reduce risks, while Nizam et al. (2019) noted that ESG policies, although potentially costly, bring stability and reduce business risks. Buallay et al. (2020) found that ESG factors are particularly beneficial for banks in developing countries, while Shakil et al. (2019) saw positive impacts in emerging markets, with social and environmental factors boosting financial success. Furthermore, studies show that banks in more developed economies may emphasize different ESG aspects based on regional development and societal needs (Szegedi et al., 2020; Akdogan et al., 2020).

Corporate governance specifically has shown to positively affect a bank's stability and reputation. For instance, Singh & Kapoor (2020) found that Indian banks with strong governance supported better investor confidence and had fewer non-performing assets during financial crises. Ehrenhard and Fiorito (2018) reported that European banks with high ethical standards faced fewer scandals, reinforcing the value of strong governance.

4. Social Responsibility and Financial Inclusion

In the "Social" part of ESG factors, financial inclusion is a focus area for Indian banks. Sharma and Gupta (2022) found that Indian banks promoting financial literacy and expanding services to rural areas had a 10% increase in customer retention and lower credit risk. These socially responsible practices support long-term profitability, as customer loyalty is strengthened, and lending risk is reduced.

5. Sustainability and Green Finance

The "Environmental" part of ESG factors is primarily represented through green finance in Indian banks. Rao et al. (2019) found that banks supporting environmentally friendly projects not only meet regulatory requirements but also attract environmentally conscious investors. Although these banks reduce operational risks associated with climate change, the lack of

standardized ESG frameworks is still a challenge for consistent performance measurement. Nonetheless, the growth of green finance aligns with the goals of sustainable banking.

6. Techniques for Analyzing Bank Performance

Evaluating bank performance is essential, and several traditional and non-traditional methods are used for this purpose. Data Envelopment Analysis (DEA) is a common technique for measuring bank efficiency in India. Baidya and Mitra (2012) used DEA to find that Indian public banks were inefficient in labour use, while Das and Kumbhakar (2012) saw that government banks improved efficiency compared to private banks over time. Jayaraman et al. (2013) showed that various DEA models provide consistent results in evaluating efficiency, making DEA a reliable tool for analyzing operational performance in banks.

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### 2.1.2 Research Gap

While many studies explore ESG factors in the banking sector, most focus on private or global banks, with limited research on how these principles impact public sector banks, specifically in India. Although existing research highlights the benefits of corporate governance, transparency, and ESG practices, there is a lack of comprehensive analysis on how these factors influence the financial resilience and operational efficiency of Indian public sector banks. Additionally, studies seldom address the distinct challenges public banks face in adopting ESG standards, especially in balancing social responsibilities with financial performance. This thesis aims to fill these gaps by examining how Environmental, Social, and Governance (ESG) factors affect the financial performance of Indian public sector banks, providing insights into both their opportunities and constraints in the evolving ESG landscape.

## 2.2 STATEMENT OF THE PROBLEM

- The Indian banking sector, particularly public sector banks, faces challenges in balancing profitability with social responsibility and sustainability.
- There is limited understanding of how Environmental, Social, and Governance (ESG) practices impact financial performance in these banks.
- Earlier studies have addressed ESG's general benefits but lack focus on public sector banks and their unique roles and challenges.
- It is essential to explore how ESG integration influences operational efficiency, customer trust, and financial stability in public sector banks.
- Understanding these effects can help create plans that improve how banks perform, increase customer satisfaction, and help the economy while supporting sustainability goals.

## 2.3 NEED AND SCOPE OF THE STUDY

### 2.3.1 Need of the Study

a) **Understanding ESG Impact**:

It is essential to understand how Environmental, Social, and Governance (ESG) factors influence the financial performance of public sector banks. By gaining insights into these impacts, banks can find which ESG practices are most beneficial for enhancing profitability and operational efficiency. This understanding can guide decision-makers in prioritizing initiatives that match both financial goals and sustainable development.

b) **Adapting to Regulations**:

As sustainability becomes a focal point in regulatory frameworks, public sector banks must adjust to meet these evolving requirements. This study will offer valuable insights that help

banks navigate the landscape of new regulations, ensuring compliance while also fulfilling the expectations of various stakeholders, including investors, customers, and regulatory bodies. By synchronizing their operations with these regulations, banks can enhance their reputations and reduce the risk of non-compliance penalties.

c) **Improving Financial Performance**:

The study will investigate how the integration of ESG practices can lead to enhanced profitability and financial stability for public sector banks. By exploring case studies and empirical data, the research aims to highlight successful strategies that have yielded positive financial outcomes. This exploration could prove that banks which adopt ESG frameworks can not only mitigate risks but also capitalize on new opportunities, leading to a more robust financial standing.

d) **Boosting Customer Trust**:

Understanding how ESG practices affect customer satisfaction is crucial for public sector banks looking to strengthen their relationships with clients. This study will analyze the relationship between ESG initiatives and customer feelings, illustrating how responsible banking practices can lead to increased trust and loyalty. By fostering a positive image and showing commitment to social responsibility, banks can improve customer retention rates and enhance their competitive edge in the market.

e) **Supporting Economic Growth**:

A comprehensive understanding of the benefits of ESG factors will enable public sector banks to play a more significant role in driving economic growth. By integrating sustainable practices, banks can help access to finance for environmentally friendly projects and socially responsible initiatives, thus contributing to overall economic development. This study aims to highlight the interconnectedness of bank performance and broader economic outcomes, encouraging banks to support initiatives that correspond with national growth aims.

f) **Encouraging Sustainable Practices**:

The research emphasizes the need for public sector banks to adopt sustainable practices that not only follow regulations but also provide social and environmental benefits. By exploring effective ESG strategies, the study can inspire banks to integrate sustainability into their core operations, resulting in a positive impact on communities and the environment. This coordination will help banks meet stakeholder expectations while fostering a culture of sustainability within the organization.

g) **Filling Knowledge Gaps**:

There is a significant lack of research focused on the ESG practices of public sector banks in India, creating a knowledge gap in the existing literature. This study aims to address this gap by providing empirical evidence and practical insights into how these banks are integrating ESG factors into their operations. By contributing to the academic and professional discourse on ESG in banking, this research can serve as a valuable resource for scholars, practitioners, and policymakers looking to understand the unique challenges and opportunities faced by public sector banks in the context of ESG integration.

### 2.3.2 Scope of the Study

- **Focus on Public Sector Banks**: This study specifically targets public sector banks in India, examining how they integrate Environmental, Social, and Governance (ESG) factors into their operations. By concentrating on this segment, the research aims to provide insights that are particularly relevant to the unique challenges and opportunities faced by these institutions in the context of ESG.
- **Impact Analysis**: The study will analyze the impact of ESG factors on the financial performance of public sector banks. This includes evaluating how different ESG

practices can affect profitability, operational efficiency, and risk management. The research will use quantitative and qualitative methods to explore these relationships, providing a comprehensive understanding of the benefits and challenges associated with ESG integration.

- **Regulatory Environment**: The scope includes an examination of the regulatory framework surrounding ESG practices in the banking sector. The study will assess how public sector banks are adapting to evolving regulations and the implications of these regulations on their operations and strategic planning. Understanding this aspect will help find areas where banks may need to strengthen compliance efforts and align their practices with national and international standards.
- **Customer Perspectives**: The research will consider customer feelings and satisfaction on the ESG initiatives undertaken by public sector banks. By exploring how customers respond to these practices, the study aims to uncover the relationship between ESG efforts and customer loyalty. This insight will be valuable for banks looking to enhance their reputation and build trust with their clientele.
- **Sustainability Practices**: The study will investigate various sustainable practices adopted by public sector banks, including green financing, socially responsible lending, and initiatives aimed at promoting financial inclusion. By evaluating the effectiveness of these practices, the research will highlight best practices that can serve as models for other banks in the sector.
- **Contribution to Economic Growth**: The scope of the study includes an exploration of how ESG practices contribute to broader economic growth. This involves assessing the role of public sector banks in financing sustainable projects and initiatives that align with national development goals. The research aims to show the interconnectedness of banking performance and economic development, reinforcing the importance of responsible banking.
- **Knowledge Gap Filling**: The study aims to fill the existing knowledge gap in the literature regarding ESG practices in public sector banks in India. By providing empirical data and insights, the research will contribute to a better understanding of the unique challenges and opportunities faced by these banks. This contribution will

be beneficial for academics, practitioners, and policymakers interested in the intersection of finance, governance, and sustainability.

- **Future Research Directions**: Finally, the study will suggest areas for future research related to ESG practices in the banking sector. By finding gaps and limitations in current research, the study aims to encourage further exploration of the subject, contributing to the ongoing discourse on sustainability and responsible banking practices.

## 2.4 OBJECTIVE OF THE STUDY

2.4.1 Primary Objective

- **Examine ESG Impact on Financial Performance**: Investigate how Environmental, Social, and Governance (ESG) factors affect the financial performance of Public Sector Banks (PSBs) in India.
- **Evaluate Customer Trust and Satisfaction**: Analyze how ESG practices influence customer trust and satisfaction in PSBs.
- **Assess Compliance with Regulations**: Explore how PSBs can align with increasing regulatory requirements related to sustainability.
- **Find Best Practices**: Find effective ESG practices within PSBs that lead to better financial performance and social impact.

### 2.4.2 Secondary Objectives

- **Explore ESG and Economic Growth**: Understand how integrating ESG factors in PSBs contributes to overall economic growth.
- **Fill Knowledge Gaps**: Address the lack of comprehensive studies on ESG practices in Indian PSBs.
- **Conduct Surveys and Analyze Data**: Conduct surveys with stakeholders to gather insights on ESG practices and their impacts.
- **Promote Sustainable Practices**: Highlight the importance of adopting sustainable practices among PSBs for societal and environmental benefits.

## 2.5 RESEARCH DESIGN

The research design of this study is structured to explore the relationship between Environmental, Social, and Governance (ESG) factors and the financial performance of Public Sector Banks (PSBs) in India. The study will use a mixed-methods approach, combining both quantitative and qualitative research methodologies to gather comprehensive insights from various sources, including bank employees, customers, and investors. This approach ensures that both numerical data on the impact of ESG practices on financial performance and qualitative insights regarding feelings are captured.

### 2.5.1 Research Methodology

The study will adopt a quantitative research method to investigate the correlation between ESG factors and the financial performance of PSBs. A survey-based approach will be employed to collect primary data from bank employees, customers, and investors to assess their awareness and feelings of ESG factors. The study aims to gather information on how these groups view the integration of ESG practices within the banking sector, including their impact on customer trust and loyalty. Additionally, financial performance metrics such as Return on Equity (ROE), Return on Assets (ROA), and stock price performance will be analysed using secondary data sources, including financial reports and ESG disclosures from Indian banks.

Key aspects of the research methodology include:

- **Primary Data Collection**:

  Structured questionnaires will be distributed to bank employees, customers, and investors to evaluate their understanding, feelings, and experiences related to ESG initiatives. The survey will include questions about the effectiveness of ESG practices in enhancing customer satisfaction and building trust in PSBs.

- **Secondary Data Collection**:

Financial data and ESG reports of PSBs will be obtained from publicly available financial statements, annual reports, and disclosures. Additionally, data from regulatory bodies such as the Reserve Bank of India (RBI) will be included to ensure compliance with national standards and practices.

- **Data Analysis**:

  The quantitative data will be analysed using statistical methods to show relationships between ESG factors and financial performance indicators. Techniques such as regression analysis and correlation analysis will be employed to find how ESG practices influence financial outcomes. Data visualization tools, such as Tableau, will be used to illustrate findings, while **Microsoft Excel** will be employed for organizing, analyzing, and manipulating data sets. Excel will enable detailed calculations and create visual representations of trends, allowing for effective data management and analysis throughout the research process.

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### 2.5.2 Descriptive Study

The research will adopt a descriptive study design to outline the current state of ESG practices in the Indian banking sector, specifically focusing on Public Sector Banks. This design will allow the research to:

- Describe the levels of ESG awareness and feelings among bank employees, customers, and investors, including insights into how these feelings align with RBI guidelines and expectations for sustainable banking practices.
- Find patterns in the adoption of ESG practices across various PSBs, highlighting best practices as well as areas needing improvement. This will help in understanding how different banks are addressing ESG issues and the implications for their financial performance.

- Explore the relationship between the integration of ESG principles and financial performance, including aspects such as profitability, risk management, and customer satisfaction. Understanding these relationships will help in developing strategies that enhance the performance of banks, improve customer satisfaction, and contribute to the overall economy while supporting sustainability aims.

## 2.6 SAMPLING FRAMEWORK

### 2.6.1 Sampling Design

A **non-probability purposive sampling design** will be used for this study. The sample will consist of stakeholders within the Indian banking sector, including bank employees, customers, and investors. The sample will be selected based on their relevance to the study aims, particularly in relation to their knowledge and involvement with ESG practices in banking.

### 2.6.2 Sampling Frame

The study focuses on selected Indian Public Sector Banks (PSBs) and collects data from both these banks and individual respondents connected to the banking sector. A survey of at least forty participants, including customers, investors, and bank employees, provides insights on feelings of ESG practices. This approach helps capture both quantitative data from the banks and qualitative insights from individuals familiar with the sector. The sampling frame will be developed based on available databases from the banks themselves, investor groups, and customer segments that the bank interacts with.

### 2.6.3 Sampling Technique

A **purposive sampling technique** is used, selecting banks based on criteria like their engagement in ESG practices and availability of relevant data. In addition, a targeted group

of survey respondents is selected for detailed insights on public feelings of ESG. This ensures that the study focuses on meaningful, data-rich sources.

### 2.6.4 Sample Size

The sample includes a limited number of PSBs to allow for in-depth analysis. Data is also gathered from at least forty survey participants and complemented by resources such as regulatory body data (e.g., RBI), publicly available datasets, and industry research. This combination of sources offers a broad view of ESG impacts.

### 2.6.5 Sampling Period

The study uses data from the past 3 to 5 years to capture latest trends in ESG practices. This includes data from regulatory bodies like RBI, publicly accessible reports, Google, and past journals, ensuring the information is relevant and up to date. Analytical tools like Tableau and Excel are used to process and visualize this data.

## 2.7 LIMITATIONS OF THE STUDY

This study faces several limitations. First, it focuses only on a select group of Indian Public Sector Banks (PSBs), which may limit the generalizability of findings to the entire banking sector. Due to limited accessibility, data from private sector and smaller banks is not included, which could restrict a full understanding of ESG affects across all bank types.

Second, the study relies on data from the past 3 to 5 years. While this captures latest trends, a longer historical analysis could offer deeper insights into how ESG practices have evolved over time. Additionally, the availability and consistency of ESG-related data across banks are still limited, as standardized frameworks for ESG reporting are not yet fully set up in India.

Third, the lack of a standardized framework for ESG reporting in India leads to inconsistencies in data quality and scope among banks. This inconsistency poses a challenge

for making right comparisons of ESG efforts and their monetary impact across different banks, potentially limiting the depth of insight obtained.

Fourth, the availability of ESG-specific data for Indian banks is scarce and often fragmented. Finding consistent, detailed information on ESG practices and their monetary impact is challenging, which may limit the scope of analysis on certain ESG components.

Lastly, the study relies on data from multiple sources, including publicly available information, regulatory bodies, and online resources like Google. These sources may vary in accuracy and reliability, which could affect the precision of the study's conclusions. Additionally, some sources may have biases or be incomplete, further challenging the study’s findings.

# CHAPTER -3

## 3. Profile of the selected organization and respondents

### 3.1 Profile of the Selected Organizations

#### 3.1.1 Bank Overview

Public Sector Banks (PSBs) form the cornerstone of the Indian banking sector, holding a significant share of the banking industry's assets and serving millions of customers across urban, semi-urban, and rural regions. Owned by the government, PSBs are not only focused on profitability but also on fulfilling broader socio-economic aims, such as financial inclusion, rural development, and support for priority sectors like agriculture, small businesses, and infrastructure. These banks play a vital role in achieving the Indian government's financial inclusion goals, reaching underserved populations through initiatives like Pradhan Mantri Jan Dhan Yojana and rural banking programs.

Public Sector Banks

1. State Bank of India (SBI)

Figure 1: State Bank of India

Founded in 1955, the State Bank of India (SBI) is the largest public sector bank in India, with its origins tracing back to the Bank of Calcutta, set up in 1806. Headquartered in Mumbai, SBI is a government-owned bank and holds a majority stake from the Government of India. With over 22,000 branches and 58,000 ATMs across India and a presence in over thirty countries, SBI commands around 23% of the Indian banking market. It offers a wide range of services, including personal banking, corporate banking, investment banking, insurance, and asset management. Recently, SBI reported a 70% increase in net profit in 2023, due to improved lending and asset quality. It also launched the popular digital platform, YONO, for convenient banking and lifestyle services. SBI plays a significant role in implementing government schemes like Jan Dhan Yojana for financial inclusion and Pradhan Mantri Awas Yojana for housing, contributing to rural development and infrastructure.

## 2. Punjab National Bank (PNB)

**Figure 2: Punjab National Bank**

Punjab National Bank (PNB), set up in 1894 by Lala Lajpat Rai in Lahore (now in Pakistan), is one of the oldest and largest public sector banks in India, headquartered in New Delhi. With over 11,000 branches across India and a presence in several international markets, PNB offers a wide range of banking services, including retail banking (savings and current accounts, personal loans), corporate banking, agricultural loans, wealth management, and international banking services. In 2023, the bank introduced new digital banking features

such as biometric authentication and AI-driven financial advisory services. PNB also launched initiatives to support small businesses, including special loan schemes and interest rate concessions for women entrepreneurs. With a market capitalization of over ₹50,000 crore, PNB continues to focus on digitization, with a strong emphasis on sustainable banking practices and incorporating ESG (Environmental, Social, and Governance) factors into its operations. The bank plays a crucial role in financial literacy programs and is actively involved in rural development and supporting government initiatives to promote entrepreneurship. Despite facing challenges such as the 2018 fraud incident, PNB is still a key player in India's banking sector, contributing significantly to both the economy and social development.

## 3. Bank of Baroda

**Figure 3:Bank of Baroda**

Bank of Baroda (BoB), set up in 1908, is one of India's largest public sector banks with a global presence. Headquartered in Vadodara, Gujarat, the bank runs over 9,000 branches in India and has a significant presence in more than twenty countries. It offers a wide range of banking services, including retail banking (savings accounts, loans, and digital banking), corporate banking (working capital finance, trade services), wealth management (investment products and financial planning), and agriculture & rural banking (loans for farmers and rural development). BoB is also focused on international banking services for Non-Resident Indians (NRIs) and global clients. The bank has shown consistent revenue growth and has

made significant strides in reducing its Non-Performing Assets (NPAs). In 2019, it merged with Vijaya Bank and Dena Bank, strengthening its financial base and market position. In recent years, BoB has invested heavily in digital transformation, launching AI-based services, and improving its customer experience. Additionally, the bank has integrated Environmental, Social, and Governance (ESG) factors into its operations, focusing on sustainable financing and promoting green projects like renewable energy and electric vehicles. BoB has a solid commitment to corporate social responsibility (CSR), contributing to education, healthcare, and rural development. With its international footprint, innovative offerings, and focus on sustainability, Bank of Baroda is still a key player in India's banking sector.

## 4. Canara Bank

**Figure 4: Canara Bank**

Canara Bank, founded in 1906 and headquartered in Bangalore, Karnataka, is one of the largest and oldest public sector banks in India, offering a wide range of financial products and services. With over 10,000 branches across India and an international presence in countries such as the UAE, Qatar, Mauritius, China, and Hong Kong, Canara Bank serves a diverse customer base, including individuals, businesses, and institutions. The bank provides services in retail banking (savings accounts, loans, cards, fixed deposits, and digital banking), corporate banking (working capital finance, trade finance, cash management), agricultural and rural banking (loans for farmers and rural development), wealth management (mutual funds, bonds, and insurance), and international banking (foreign exchange, remittances, and NRI services). Canara Bank has made significant improvements in asset quality by reducing its Non-Performing Assets (NPAs) and supports a strong Capital Adequacy Ratio (CAR), meeting regulatory standards. In 2020, the bank merged with Syndicate Bank, enhancing its

market position and branch network. The bank has also heavily invested in digital banking, introducing features like AI-based customer support and chatbots. Canara Bank has started incorporating Environmental, Social, and Governance (ESG) principles into its operations, supporting green initiatives and sustainable financing. The bank focuses on improving governance, enhancing risk management, and supporting ethical banking practices. Canara Bank's corporate social responsibility (CSR) initiatives focus on supporting education, healthcare, environmental sustainability, and rural development. As a leading public sector bank in India, Canara Bank is dedicated to delivering inclusive and sustainable banking services, ensuring its continued growth both domestically and internationally.

## 5. Union Bank of India

**Figure 5: Union Bank of India**

Union Bank of India (UBI), set up in 1919 and headquartered in Mumbai, Maharashtra, is a major public sector bank in India. With a rich history and a solution-oriented approach, the bank offers a diverse range of banking services, including retail banking (savings accounts, personal loans, education loans, and digital banking services), corporate banking (working capital finance, trade finance, and term loans), agriculture and rural banking (specialized products for farmers and rural development), wealth management (mutual funds, insurance, and advisory services), and international banking (foreign exchange, remittances, and services for Non-Resident Indians). Union Bank has grown significantly over the years, with over 9,000 branches and a global presence in countries like the USA, UAE, UK, Singapore, and Hong Kong. The bank has a strong financial position with total assets exceeding ₹10 lakh

crore, and it consistently shows growth in revenue and profitability. Union Bank has focused on digital transformation, introducing mobile banking apps, UPI, internet banking, and AI-based customer support to enhance customer experience. In 2020, the bank merged with Andhra Bank and Corporation Bank, further expanding its reach, and making it one of the largest public sector banks in India. Union Bank also emphasizes Environmental, Social, and Governance (ESG) principles, supporting green initiatives and sustainability in its operations. The bank adheres to strict governance practices, ensuring transparency, ethical conduct, and robust risk management. Through its corporate social responsibility (CSR) initiatives, Union Bank focuses on education, healthcare, rural development, and environmental sustainability. With a strong market presence and commitment to innovation, Union Bank is well-positioned for continued growth both in India and internationally.

## 6. Bank of India (BoI)

**Figure 6: Bank of India**

Bank of India (BoI), set up in 1906, is one of India's leading public sector banks with a significant presence in both retail and corporate banking. Headquartered in Mumbai, Maharashtra, BoI offers a comprehensive range of financial services, including savings and current accounts, fixed and recurring deposits, personal and home loans, working capital finance, term loans, trade finance, and business banking services. The bank also provides specialized services for Non-Resident Indians (NRIs), including remittances and foreign exchange, along with investment solutions, wealth management, and digital banking services such as internet and mobile banking, UPI, and more.

With over 5,000 branches across India and a growing international presence in cities such as New York, London, Singapore, Hong Kong, and Dubai, Bank of India serves a diverse clientele, from individuals to businesses and government entities. The bank's focus on financial inclusion has led to increased efforts to provide banking services to rural and under banked areas in India, while its commitment to sustainability is reflected in its corporate social responsibility (CSR) initiatives in education, healthcare, rural development, and environmental sustainability.

## 7. Indian Bank

**Figure 7: Bank of India**

Indian Bank, set up in 1907 and headquartered in Chennai, Tamil Nadu, is a prominent public sector bank with a rich history and significant presence in India's banking sector. Owned by the Government of India, the bank runs with a majority stake and has expanded its reach both nationally and internationally. It offers a broad range of services including retail banking (savings and current accounts, fixed deposits, personal loans, home loans, car loans, education loans, and credit cards), corporate banking (working capital finance, trade finance, and corporate investments), digital banking (internet banking, mobile banking, and e-wallet services), and wealth management (investment advisory and portfolio management). The bank also provides specialized services for Non-Resident Indians (NRI), including NRE and NRO accounts, remittance services, and investment products.

A key milestone in the bank's history was its merger with Allahabad Bank on April 1, 2020, which created one of the largest public sector banks in India as part of the government's banking sector consolidation strategy. Indian Bank has over 2,900 branches across India and runs internationally, with fully operational branches in Singapore and a representative office in Colombo, Sri Lanka. The bank has been initiative-taking in adopting digital banking solutions and focuses on financial inclusion, offering services to rural and underserved populations, and supporting government welfare programs like PMAY (Pradhan Mantri Awas Yojana) and Jan Dhan Yojana.

Indian Bank consistently reports strong financial performance, with solid revenue, profit, and capital adequacy, and is listed on both the Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE) of India. The bank is also active in promoting sustainable finance and ESG initiatives, such as financing clean energy projects, supporting education, and promoting financial literacy. Indian Bank's leadership is appointed by the government of India, with a managing director or CEO overseeing operations, and its Board of Directors includes government-nominated representatives, independent directors, and banking experts. The bank has received multiple awards for its services, digital innovations, and CSR contributions, including recognition for best customer service, leadership in digital banking, and efforts towards financial inclusion. Through its extensive network and on-going commitment to digital transformation, financial inclusion, and sustainable development, Indian Bank continues to play a critical role in India's economic growth and the global banking landscape.

## 8. Central Bank of India

Figure 8: Central Bank of India

**Central Bank of India (CBI)**, set up in 1911, is one of India's oldest and most prominent public sector banks. With its headquarters in Mumbai, Maharashtra, CBI has a legacy of over a century in offering a wide range of banking services. As a public sector bank, it plays a significant role in the development of the Indian economy, focusing on financial inclusion and customer service across various sectors, including retail, corporate, and rural banking. The bank runs over 4,000 branches across India and has an international presence with branches in London and Dubai. CBI provides services in retail banking, offering savings and current accounts, loans, fixed and recurring deposits, debit and credit cards, and digital banking options such as internet banking, mobile banking, and UPI services. In corporate banking, it offers working capital finance, trade finance, term loans, and cash management services. For agriculture and rural banking, it provides agricultural loans, microfinance, and initiatives for financial inclusion in underserved areas. CBI's wealth management services include investment products like mutual funds, insurance, and financial planning. In international banking, the bank helps foreign exchange services and offers special services for Non-Resident Indians (NRI), including remittances and investment opportunities. The bank has made significant investments in digital banking, introducing services such as mobile banking apps, AI-powered customer service, and UPI to enhance the banking experience. As part of the Indian government's efforts to strengthen public sector banks, CBI has focused on merging its operations, improving efficiency, and reducing non-performing assets (NPAs). The bank is also committed to sustainability, offering green loans and financing renewable

energy projects. Central Bank of India adheres to strict corporate governance practices, ensuring transparency and ethical management. Its CSR initiatives include supporting education, healthcare, rural development, and environmental sustainability, such as tree plantation drives and funding renewable energy projects. With its innovative offerings, commitment to digitalization, financial inclusion, and sustainability, Central Bank of India is still an important institution for its customers in India and abroad, contributing to the country's economic growth.

## 9. Indian Overseas Bank (IOB)

**Figure 9: Indian Overseas Bank**

Indian Overseas Bank (IOB), founded in 1937 by M. Chidambaram and headquartered in Chennai, Tamil Nadu, is a leading public sector bank in India. With over 3,000 branches across India and a strong international presence in locations such as Singapore, Hong Kong, and Dubai, IOB plays a significant role in promoting financial inclusion and offering a wide range of banking services. These services include retail banking with savings and current accounts, loans, deposits, debit and credit cards, and digital banking options such as internet banking, mobile banking, and UPI. In corporate banking, IOB provides working capital finance, trade finance, term loans, project financing, and cash management services. The bank also supports agricultural and rural banking with farm loans, microfinance, and financial inclusion programs aimed at underserved populations. IOB offers wealth management services including mutual funds, insurance, and personalized financial advisory. The bank's international banking services cater to Non-Resident Indians (NRI) with remittance services, NRI accounts, investment solutions, and foreign exchange services. IOB has embraced digital

banking with mobile apps, internet banking, and UPI services while focusing on operational efficiency and reducing non-performing assets (NPAs) as part of the government's public sector bank consolidation efforts. The bank is also committed to sustainability, financing renewable energy projects, and supporting green initiatives like solar and wind energy. IOB adheres to strict corporate governance practices and follows regulations set by the Reserve Bank of India (RBI) to support stakeholder trust. Its Corporate Social Responsibility (CSR) initiatives focus on education, healthcare, rural development, and environmental sustainability. Through its continued emphasis on digitalization, financial inclusion, and sustainability, Indian Overseas Bank is still a key player in India's banking sector and contributes to the country's economic growth.

## 10. UCO Bank

Figure 10: UCO Bank

UCO Bank, set up in 1943 and headquartered in Kolkata, West Bengal, is a prominent public sector bank in India with a legacy of over 75 years. Offering a wide range of financial products and services, UCO Bank caters to individuals, businesses, and government sectors, contributing to financial inclusion and supporting economic development across the country. The bank's offerings include retail banking with savings and current accounts, personal loans, home loans, fixed deposits, debit and credit cards, and digital banking platforms such as mobile banking, internet banking, and UPI. In corporate banking, UCO Bank provides working capital finance, trade finance, term loans, and cash management services. The bank

supports agricultural and rural banking with specialized loans for farmers, microfinance for rural entrepreneurs, and financial inclusion initiatives targeting underserved populations. In wealth management, UCO Bank offers investment products such as mutual funds and bonds, along with personalized financial advisory services. The bank's international banking services include NRI services, foreign exchange, and a presence in global markets like Singapore, Hong Kong, and Dubai. UCO Bank has focused on digital banking advancements, expanding mobile banking, internet banking, and UPI services, and launching various digital initiatives. The bank also emphasizes financial inclusion, especially for rural populations, and is committed to reducing non-performing assets (NPAs) through improved risk management and credit assessments. Its sustainability initiatives include supporting renewable energy and green projects like solar and wind energy. UCO Bank adheres to strong corporate governance practices and follows regulations set by the Reserve Bank of India (RBI) to ensure transparency and accountability. The bank’s Corporate Social Responsibility (CSR) initiatives focus on education, healthcare, rural development, and environmental sustainability. Through its commitment to digital transformation, financial inclusion, sustainability, and reducing NPAs, UCO Bank is well-positioned to continue contributing to India’s economic growth while supporting a strong global presence.

## 3.2 PROFILE OF THE RESPONDENTS

This demographic analysis provides a clear picture of the people who took part in the survey, which is essential to understanding their responses and perspectives on the banking sector and ESG factors.

**Age Distribution**: Most participants are young, with twenty-four out of forty-three people under twenty-five, and the remaining nineteen between 25 and 34. This shows that the survey reached mostly younger people who are likely in the first stages of their careers or are students. This youthful age group might have different views compared to older, experienced professionals, especially on topics like environmental, social, and governance (ESG) factors, which tend to resonate more with younger people.

**Gender Breakdown**: There is a noticeable gender imbalance, with thirty-six males and only seven females. This male-dominated sample might affect the survey results, as it reflects male perspectives, potentially missing some viewpoints that a more balanced gender representation could bring. However, this trend is also like what we see in certain areas of the financial industry, where males are often the majority.

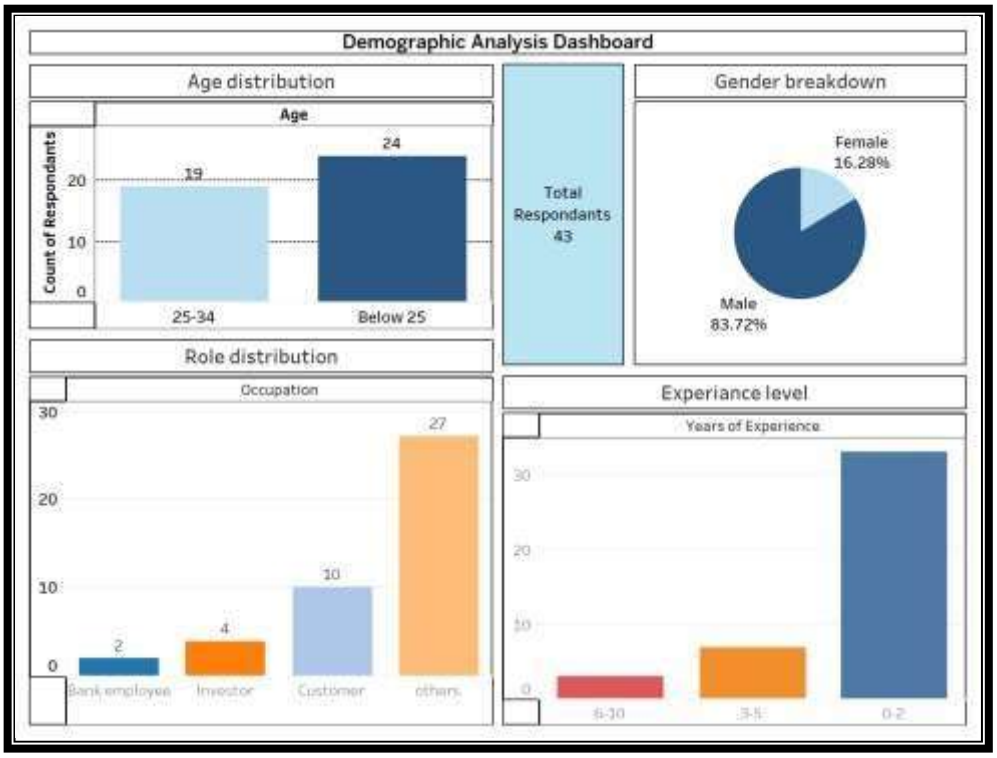


Figure 11: Demographic information of Respondents.

**Gender Breakdown**: There is a noticeable gender imbalance, with thirty-six males and only seven females. This male-dominated sample might affect the survey results, as it reflects male perspectives, potentially missing some viewpoints that a more balanced gender representation could bring. However, this trend is also like what we see in certain areas of the financial industry, where males are often the majority.

**Occupational Roles**: The respondents come from various backgrounds, with most categorized as ―Others‖ (27 people), which includes students or people not directly working

in banking. Only a small number are bank employees (2), investors (4), or customers (10). This means that the survey may capture public views on banking rather than the perspectives of professionals who work within the industry. This broad mix of backgrounds can offer diverse insights, though it may lack the depth that comes from people with direct banking experience.

**Experience Levels**: Most respondents (33 out of 43) have only 0-2 years of experience, while just a few have more experience (7 people with 3-5 years and three people with 6-10 years). This highlights the youthful and early-career nature of the sample. Experienced professionals might offer deeper insights into complex issues, but younger people bring fresh perspectives, especially on new and emerging topics like ESG.

**Age and Occupation Relationship**: Many of the younger participants, especially those under twenty-five, fall under the ―Others‖ category, showing they might be students or people not yet settled in traditional finance roles. In the 25-34 age group, we see more people identifying as customers or bank employees, showing they are more involved in their careers. This difference might influence how they view banking and finance topics.

**Experience Across Occupations**: People with little experience (0-2 years) are mostly in the ―Others‖ category, reflecting that they are just starting their careers and might not have specific banking roles yet. Those with 3-5 years of experience are more likely to be customers or investors, showing some interaction with financial products, though not deep industry experience. The few with 6-10 years of experience are mostly customers, showing they might know about banking from a user's perspective rather than working inside the industry.

**Gender and Age Relationship**: Both males and females are in the ―Below 25‖ age group, showing that both genders in this sample are young. This suggests that their views on banking topics might be shaped by current trends like digital banking and ESG factors, which are popular with younger generations. However, with fewer female respondents, it is hard to conclude gender-specific perspectives accurately.

# CHAPTER -4

## 4. DATA ANALYSIS AND INTERPRETATION

### 4.1 Introduction to Data Analysis

This section aims to present a comprehensive analysis of the data collected to evaluate the impact of Environmental, Social, and Governance (ESG) factors on the financial performance of Indian Public Sector Banks (PSBs). The analysis aligns with the primary aims of this research, which are to understand the relationship between ESG integration and financial performance metrics, such as profitability, operational efficiency, and market performance. By assessing this relationship, we can find potential benefits and challenges associated with ESG adoption in the banking sector, providing insights into how ESG practices may contribute to sustainable growth.

The main data sources used in this analysis include annual financial reports of PSBs, which provide detailed information on balance sheets, income statements, and key performance indicators. Additionally, market data from regulatory platforms such as the National Stock Exchange (NSE) and the Securities and Exchange Board of India (SEBI) are used to capture market performance trends. Furthermore, survey data gathered from industry participants enhances the analysis by incorporating insights on ESG feeling and implementation practices within these banks. Together, these data sources provide a solid foundation to assess ESG effects on the financial performance of Indian PSBs.

### 4.2 Primary data

Awareness and Understanding of ESG

1. **Are you aware of the term 'ESG' (Environmental, Social, and Governance) in the context of banking?**

| ESG Awareness | Count of Respondent ID |
|---|---|
| No | f20 |
| Yes | 23 |
| **Grand Total** | **43** |

Table 1:ESG Awareness

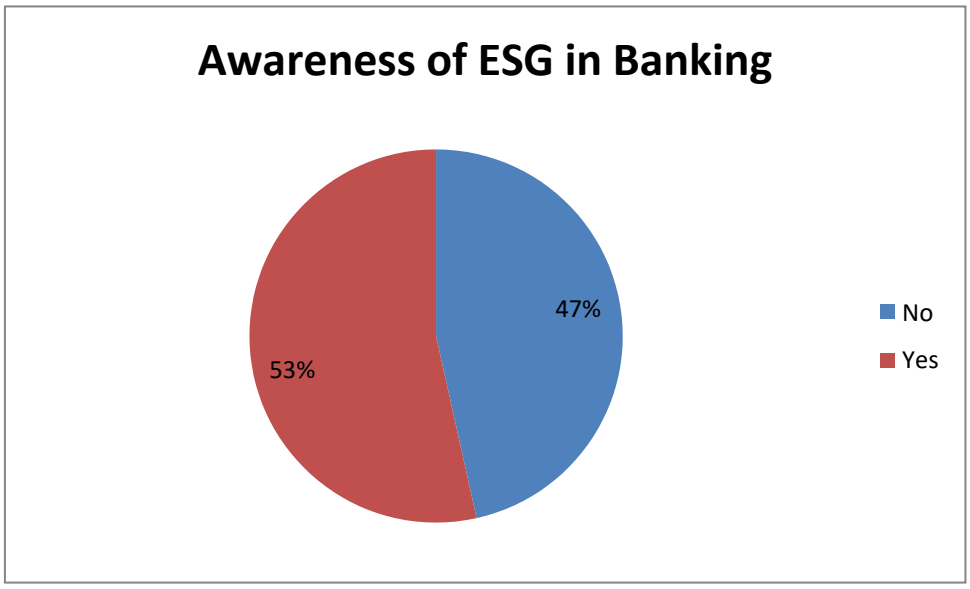


Figure 12:Awareness of ESG in Banking

The pie chart presents the distribution of respondents' awareness about **Environmental, Social, and Governance (ESG)** factors. The analysis focuses on the number of respondents

who are either aware or unaware of ESG concepts, which are crucial for evaluating corporate sustainability and ethical practices. The total number of respondents is **forty-three**.

1. **Respondents Unaware of ESG Factors (20 Respondents – 47%)**:
    - **Interpretation**: 47% of respondents (20 individuals) showed they are **not aware** of ESG factors. This suggests a massive part of the sample may not be familiar with the concept of ESG, which could affect their decision-making or understanding of corporate performance in relation to environmental sustainability, social responsibility, and corporate governance practices.
    - **Implications**: This group's lack of awareness may be due to limited exposure to ESG-related information, either in their professional or personal spheres. It may show a gap in ESG education or outreach in the community being surveyed.
2. **Respondents Aware of ESG Factors (23 Respondents – 54%)**:
    - **Interpretation**: Just over **54%** of the respondents (23 individuals) said that they are **aware** of ESG factors. This suggests that many respondents have some level of knowledge about ESG, highlighting a growing recognition of the importance of ESG in business operations, investment strategies, and policymaking.
    - **Implications**: This awareness is critical, as it may reflect the increasing role of ESG in various sectors such as banking, finance, and corporate governance. The respondents in this group are more attuned to issues like environmental impact, social responsibility, and corporate governance standards, which can influence both consumer behaviour and investment decisions.
3. **Grand Total**:
    - The total number of respondents surveyed is **forty-three**. The breakdown between those aware (23) and unaware (20) ensures that the results are statistically relevant and offer insight into the level of ESG awareness within the surveyed group.

- **Awareness Gap**: The fact that just over half of the respondents are aware of ESG while half are unaware suggesting an **awareness gap**. This could present an opportunity for further educational initiatives or campaigns aimed at increasing understanding and promoting ESG principles.
- **Potential for ESG Integration**: The important level of awareness among 54% of respondents may show that ESG-related concepts are becoming more integrated into professional discussions and decision-making processes. For example, businesses and financial institutions might consider addressing this awareness gap by providing more ESG-related training or resources.

2. **How would you rate your understanding of ESG principles?**

| ESG Understanding Level | Count of Respondent ID |
|---|---|
| Basic understanding | 35 |
| Extensive understanding | 1 |
| Moderate understanding | 7 |
| **Grand Total** | **43** |

Table 2:ESG Understanding Level

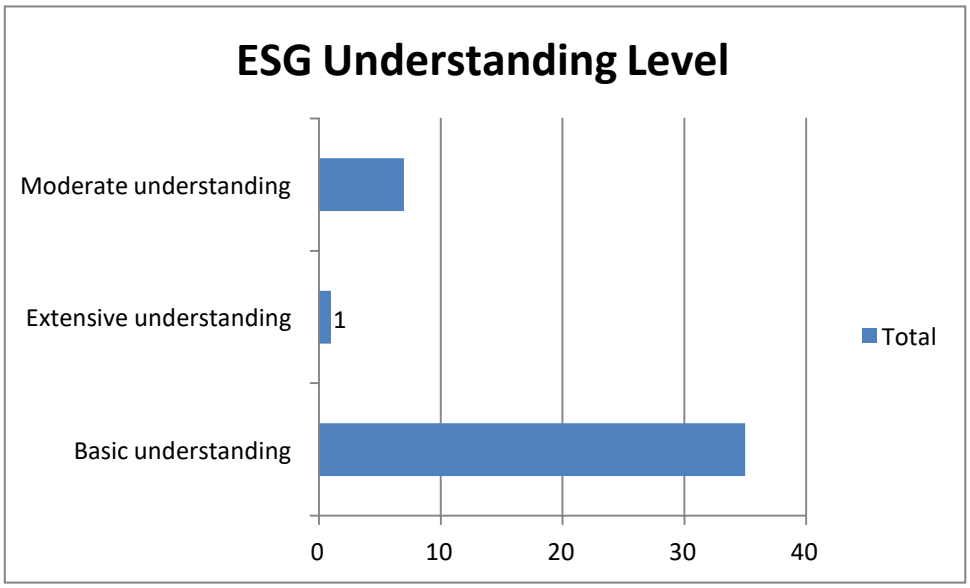


Figure 13:ESG Understanding Level

The bar graph is respondents' self-reported levels of understanding of **Environmental, Social, and Governance (ESG)** principles. The data categorizes the respondents based on their perceived understanding of ESG into three distinct levels: **Basic Understanding**, **Moderate Understanding**, and **Extensive Understanding**. The total number of respondents is **forty-three**.

1. **Basic Understanding (35 Respondents – 81.4%)**:
   - **Interpretation**: Many respondents, **81.4%** (35 individuals), reported having a **basic understanding** of ESG principles. This suggests that the general awareness of ESG is present, but it may not be comprehensive or deep. These respondents have a foundational knowledge of ESG concepts but may not be fully familiar with advanced or nuanced aspects of ESG practices.
   - **Implications**: A basic understanding of ESG is common, but it may highlight a need for more in-depth training or education to advance the respondents' knowledge in ESG-related topics. These respondents could receive help from further learning on how ESG factors are implemented in corporate strategies and investment decisions.

2. **Moderate Understanding (7 Respondents – 16.3%)**:
    - **Interpretation**: A smaller group, **16.3%** (7 respondents), showed a **moderate understanding** of ESG principles. These respondents have a deeper comprehension of ESG topics than those with a basic understanding, and they may be aware of both the challenges and opportunities related to ESG practices in business.
    - **Implications**: Although this group is a minority, their more advanced understanding could be indicative of those who actively engage with ESG frameworks and follow its impact on corporate governance, investment decisions, and sustainability initiatives. Targeted workshops or discussions could help expand their knowledge even further.
3. **Extensive Understanding (1 Respondent – 2.3%)**:
    - **Interpretation**: Only **2.3%** (1 respondent) reported having an **extensive understanding** of ESG principles. This individual has a highly detailed and comprehensive knowledge of ESG topics, including ESG reporting, compliance frameworks, and advanced applications in business.
    - **Implications**: This small percentage of respondents highlights that deep ability in ESG is rare within the surveyed group. Given the importance of ESG in today's business landscape, efforts to elevate the knowledge of this small group could be essential for leadership roles or consultancy positions within organizations focused on ESG-related strategies.
4. **Grand Total**:
    - The total number of respondents surveyed is **forty-three**, with the data clearly showing that most respondents fall into the **Basic Understanding** category.

- **Knowledge Gap**: The overwhelming majority of respondents (81.4%) have only a **basic understanding** of ESG, which could show a significant knowledge gap in the more intricate details of ESG factors. This gap presents an opportunity for further educational initiatives, such as workshops or advanced training programs, aimed at increasing the overall ESG literacy of the group.

- **Room for Growth**: The limited number of respondents with **moderate** or **extensive** understanding suggests that while there is awareness, there is still considerable room for growth in terms of ability. This could have implications for businesses or organizations that are looking to implement more comprehensive ESG strategies or integrate ESG into their corporate governance structures.

3. **Which of the following ESG factors do you think is most important for a bank's long-term success?**

| ESG Importance Factor | Count of Respondent |
|---|---|
| Environmental factors (e.g., carbon footprint, sustainability) | 12 |
| Governance factors (e.g., transparency, corporate governance) | 12 |
| Social factors (e.g., customer welfare, financial inclusion) | 19 |
| **Grand Total** | **43** |

Table 3:ESG Importance Factor

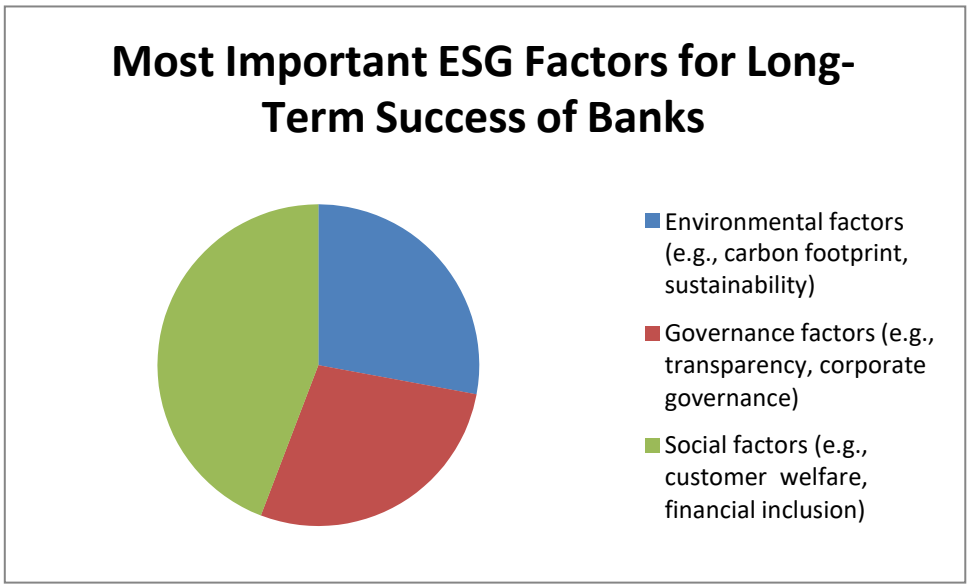


Figure 14:Most Important ESG Factors for Long-Term Success of Banks

The pie chart is respondents' opinions on which **ESG (Environmental, Social, and Governance)** factor they consider most important for a bank's long-term success. The chart breaks down the responses into three categories: **Environmental factors**, **Governance factors**, and **social factors**. The total number of respondents is **forty-three**.

1. **Environmental Factors (12 Respondents – 28%)**:
    - **Interpretation**: **28%** of the respondents (12 individuals) believe **Environmental factors** (such as carbon footprint, sustainability, and environmental impact) are the most important for a bank's long-term success. This suggests that environmental responsibility, particularly in terms of sustainability and reducing ecological impact, is an area of increasing focus.
    - **Implications**: As environmental concerns grow globally, banks are increasingly expected to adopt sustainable practices. This response shows that a part of respondents prioritizes environmental stewardship in the banking sector, recognizing its importance for corporate reputation, regulatory

compliance, and attracting environmentally conscious investors and customers.

2. **Governance Factors (12 Respondents – 28%)**:
   - **Interpretation**: **28%** of the respondents (12 individuals) view **Governance factors** (such as transparency, corporate governance practices, and ethical leadership) as the most critical for a bank's long-term success. Strong governance is essential for keeping investor trust, regulatory compliance, and the overall stability of the financial institution.
   - **Implications**: Governance plays a fundamental role in ensuring accountability, ethical practices, and sustainable business operations. These respondents believe that good corporate governance sets the foundation for a bank's reliability, security, and long-term financial health.
3. **Social Factors (19 Respondents – 44%)**:
   - **Interpretation**: The largest group, **44%** (19 respondents), consider **social factors** (such as customer welfare, financial inclusion, and community engagement) to be the most important for a bank's long-term success. This suggests that a massive part of respondents believe that addressing social issues, such as supporting underserved communities and ensuring access to banking for all, is critical for a bank's growth and reputation.
   - **Implications**: Social factors reflect a bank's role in society beyond profit-making. By focusing on financial inclusion, customer protection, and societal welfare, banks can build stronger relationships with customers and communities. This finding emphasizes the growing importance of the social dimension in a bank's overall ESG strategy.
4. **Grand Total**:
   - The total number of respondents surveyed is **forty-three**, which provides a comprehensive understanding of the several factors that influence their feeling of a bank's success. The breakdown of responses highlights that social issues tend to be prioritized slightly more than environmental and governance concerns.

- **Priority on Social Factors**: With **44%** of respondents prioritizing **social factors**, this shows a strong focus on issues such as financial inclusion, customer welfare, and community engagement. Banks may need to increasingly tailor their strategies to address social challenges, such as providing financial services to underserved populations or supporting local communities.
- **Equal Importance of Environmental and Governance Factors**: Both **Environmental** and **Governance factors** are equally important to **28%** of respondents, showing a balanced view of these two areas. While environmental sustainability and ethical governance are critical, they are not necessarily seen as more important than social factors in driving a bank's long-term success.

## ESG Practices in Banks

4. **In your opinion, how committed is your bank to implementing environmental practices (e.g., green finance, energy-efficient operations)?**

| Bank Commitment to Environmental Practices | Count of Respondent ID |
|---|---|
| Moderately committed | 16 |
| Not at all committed | 11 |
| Slightly committed | 16 |
| **Grand Total** | **43** |

Table 4:Bank Commitment to Environmental Practices

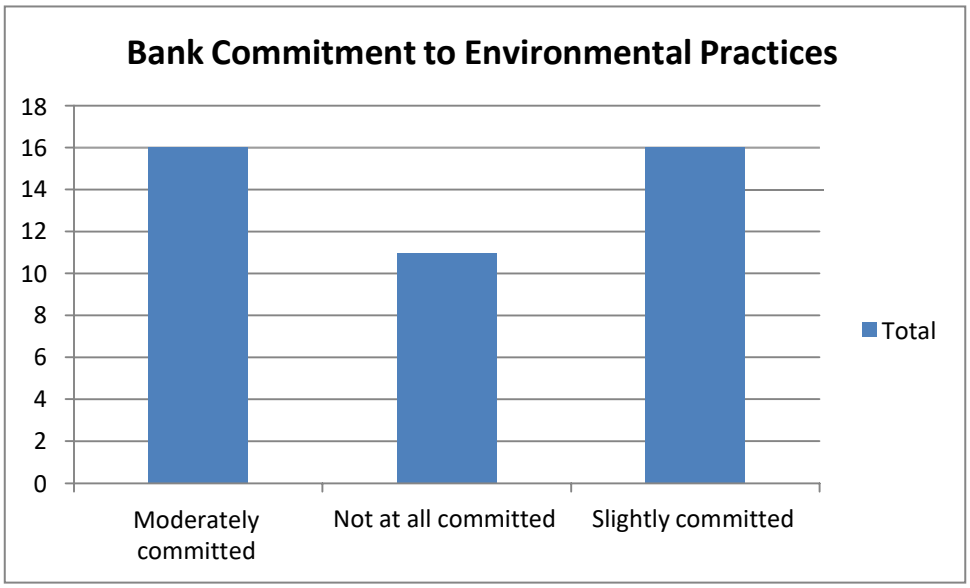


Figure 15:Bank Commitment to Environmental Practices

The bar graph shows respondents' feelings of how committed their bank is to be implementing **environmental practices**, such as **green finance** and **energy-efficient operations**. The data categorizes responses into three levels of commitment: **Moderately committed**, **not at all committed**, and **slightly committed**. The total number of respondents is **forty-three**.

1. **Moderately Committed (16 Respondents – 37.2%)**:
    - **Interpretation**: **37.2%** (16 respondents) believe their bank is **moderately committed** to implementing environmental practices. This suggests that a huge part of respondents perceives their bank as taking some action toward sustainability, such as adopting green finance initiatives, improving energy efficiency, or supporting environmental policies. However, it may show that while efforts are being made, there is still room for improvement in fully integrating environmental practices into the bank's operations.
    - **Implications**: Moderate commitment could reflect the bank's ongoing efforts to engage in sustainable practices but shows that there may be barriers

preventing a more substantial commitment, such as resource constraints, lack of awareness, or competing priorities.

2. **Not at All Committed (11 Respondents – 25.6%)**:
   - **Interpretation**: **25.6%** (11 respondents) feel that their bank is **not at all committed** to environmental practices. This group is a large portion of respondents who perceive their bank as not actively engaging in sustainability efforts, such as reducing carbon emissions, supporting green projects, or adopting energy-efficient technologies.
   - **Implications**: This response highlights a clear gap in environmental responsibility. It may reflect a lack of environmental policies, insufficient green finance initiatives, or a low level of awareness within the bank about the importance of sustainability. This gap presents an opportunity for the bank to invest in and promote more robust environmental initiatives to align with growing public and regulatory expectations.
3. **Slightly Committed (16 Respondents – 37.2%)**:
   - **Interpretation**: **37.2%** (16 respondents) view their bank as **slightly committed** to environmental practices. This suggests that while the bank may be taking some steps toward sustainability, such efforts might be seen as minimal or token gestures rather than substantial or strategic initiatives.
   - **Implications**: Slight commitment may show that environmental efforts are not fully integrated into the bank's core operations or long-term strategy. These respondents may perceive the bank’s environmental initiatives as insufficient or inconsistent, potentially due to limited resources or a lack of clear sustainability goals.
4. **Grand Total**:
   - The total number of respondents surveyed is **forty-three**, which provides a clear understanding of the distribution of opinions about the bank's commitment to environmental practices.

- **Mixed Perceptions of Commitment**: The fact that **37.2%** of respondents feel their bank is only moderately committed and another **37.2%** view the commitment as slight (combined **74.4%**) suggests that the bank's environmental practices may not be perceived as robust or far-reaching. This presents an opportunity for the bank to assess its environmental initiatives and strengthen its commitments to sustainability.
- **Room for Improvement**: The **25.6%** of respondents who feel their bank is **not at all committed** shows that there is a clear need for improvement in addressing environmental issues within the bank. Strengthening environmental policies and aligning them with global sustainability trends may improve public feeling and engagement with sustainability practices.

5. **How well does your bank promote social responsibility (e.g., financial inclusion, community development, customer welfare)?**

| Social Responsibility Promotion Level | Count of Respondent ID |
|---|---|
| Excellent | 1 |
| Fair | 21 |
| Good | 12 |
| Poor | 9 |
| **Grand Total** | **43** |

Table 5:Bank's Promotion of Social Responsibility

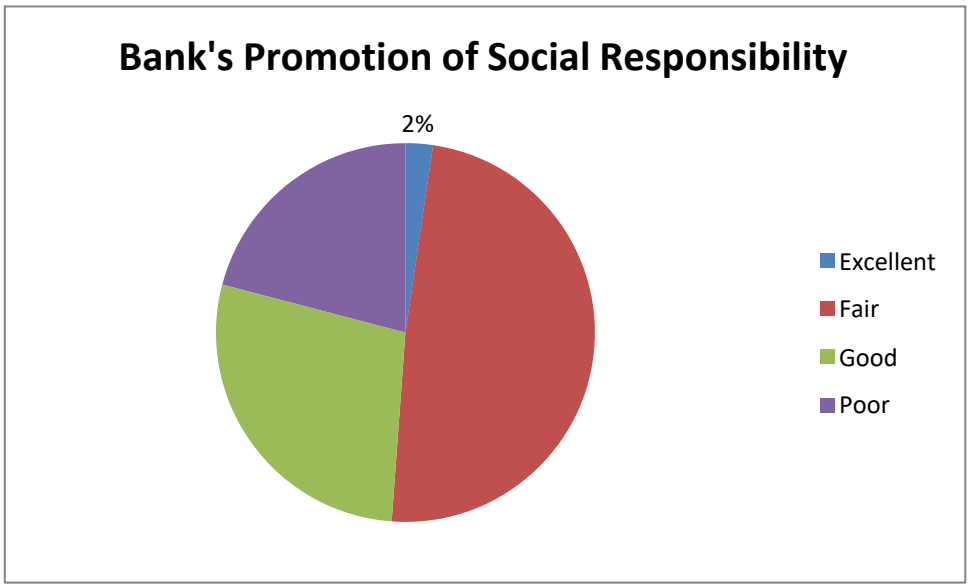


Figure 16:Bank's Promotion of Social Responsibility

The pie chart is respondents' opinions on how well their bank promotes **social responsibility**, focusing on areas like **financial inclusion**, **community development**, and **customer welfare**. The responses are categorized into four levels: **Excellent**, **Good**, **Fair**, and **Poor**, with a total of **43** respondents.

1. **Fair (21 Respondents – 49%)**:
    - **Interpretation**: **49%** (21 respondents) rated their bank's promotion of social responsibility as **fair**. This suggests that a huge part of respondents feels the bank makes some efforts in areas like financial inclusion, community development, and customer welfare, but these efforts may not be seen as particularly outstanding or consistent. The efforts may be considered adequate but not necessarily leading the way in terms of social responsibility.
    - **Implications**: A "fair" rating implies that while the bank does engage in social responsibility activities, there may be room for improvement in terms of impact, visibility, or breadth. The bank could consider expanding its initiatives or improving the effectiveness of its current efforts to better address social issues and community needs.

2. **Good (12 Respondents – 28%)**:
    - **Interpretation**: **28%** (12 respondents) believe their bank promotes social responsibility at a **satisfactory level**. This shows that these respondents perceive the bank's social responsibility efforts to be above average, including significant initiatives in financial inclusion, customer welfare, or local community development.
    - **Implications**: A "good" rating suggests that the bank's efforts are positively affecting its stakeholders and contributing to the community. However, there is still room for improvement, as some respondents are not fully convinced of the bank's impact in this area.
3. **Poor (9 Respondents – 21%)**:
    - **Interpretation**: **21%** (9 respondents) rated their bank's social responsibility efforts as **poor**. This group perceives the bank as doing little or nothing in terms of promoting social responsibility, which may include a lack of investment in financial inclusion, customer welfare, or community development projects.
    - **Implications**: A "poor" rating signals a significant gap in the bank's social responsibility efforts. This feedback suggests that the bank may not be sufficiently addressing the needs of marginalized groups, supporting community development, or ensuring customer welfare. These are areas that may require urgent attention to enhance the bank's reputation and social impact.
4. **Excellent (1 Respondent – 2%)**:
    - **Interpretation**: Only **2%** (1 respondent) felt that their bank's social responsibility efforts were **excellent**. This small percentage shows that a limited number of respondents view the bank's initiatives in this area as exemplary or leading.
    - **Implications**: The "excellent" rating highlights that while a small number of respondents see the bank's efforts as outstanding, this is not a widely shared view.

5. **Grand Total**:
    - The total number of respondents surveyed is **forty-three**, and the distribution of responses reveals a mixed feeling of the bank's commitment to social responsibility, with a larger part of respondents rating it as either **fair** or **good**, but a notable group rating it as **poor**.

- **Opportunity for Improvement**: With **49%** of respondents rating the bank's social responsibility efforts as **fair**, there is a clear opportunity for the bank to improve its initiatives. By focusing on increasing the depth and visibility of its social responsibility efforts, the bank could enhance its reputation and increase the percentage of respondents who view its efforts as **good** or **excellent**.
- **Challenges in Perception**: The **21%** rating the efforts as **poor** shows that there is a significant gap between the bank's actual social responsibility practices and public feeling. This could be due to a lack of transparency, limited outreach, or the perceived ineffectiveness of existing initiatives. Addressing this gap could improve the bank's standing and help build trust with customers and communities.

6. **Do you think your bank has strong governance policies in place (e.g., transparency, accountability, ethical practices)?**

| Governance Policies Perception | Count of Respondent ID |
|---|---|
| Agree | 17 |
| Disagree | 7 |
| Neutral | 18 |
| Strongly Disagree | 1 |
| Grand Total | 43 |

Table 6:Governance Policies Perception

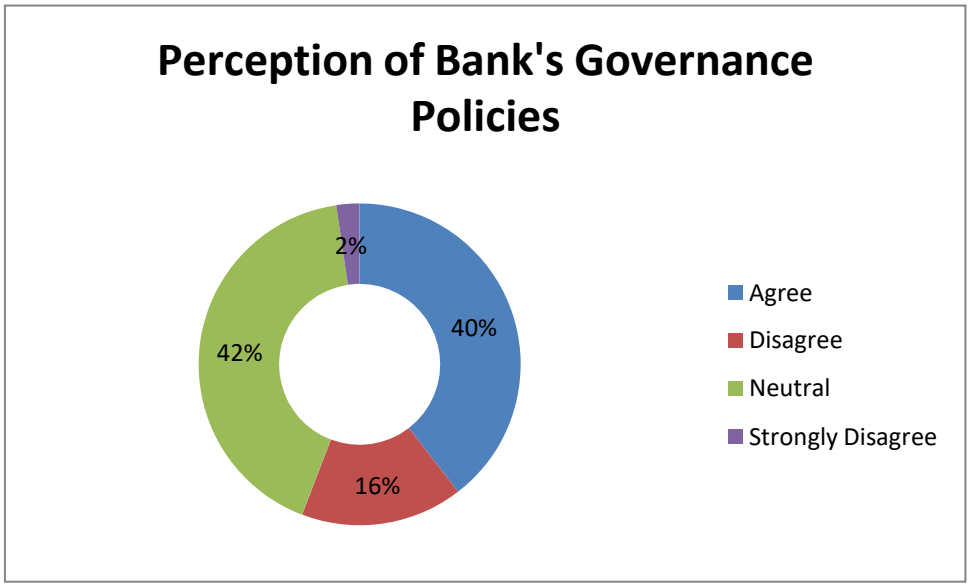


Figure 17: Perception of Bank's Governance Policies

The doughnut chart is respondents' feelings about the strength of their bank's **governance policies**, such as **transparency**, **accountability**, and **ethical practices**. The chart breaks down the responses into four categories: **Agree**, **Disagree**, **Neutral**, and **Strongly Disagree**, with a total of **forty-three** respondents.

1. **Agree (17 Respondents – 40%)**:
    - **Interpretation**: **40%** (17 respondents) agree that their bank has strong governance policies in place. This suggests that a huge part of respondents believes the bank shows transparency, accountability, and ethical practices in its operations.
    - **Implications**: A **40%** agreement shows that the bank is perceived to have a solid foundation in governance, with respondents recognizing efforts in supporting ethical standards and accountability. However, it also suggests that there is still room for improvement in strengthening and consistently

communicating these governance practices to build even more trust and transparency.

2. **Disagree (7 Respondents – 16%)**:
    - **Interpretation**: **16%** (7 respondents) disagree with the statement, suggesting they do not believe the bank has strong governance policies in place. This could reflect concerns about the bank's internal governance processes, lack of transparency, or unethical practices that may affect stakeholders' trust.
    - **Implications**: A **16%** disagreement shows that a notable minority perceives weaknesses in governance. These respondents may be concerned about issues such as unclear reporting, lack of accountability, or potential unethical behaviour within the bank. This feedback should prompt the bank to review its governance policies and address any gaps or concerns raised.
3. **Neutral (18 Respondents – 42%)**:
    - **Interpretation**: **42%** (18 respondents) are neutral on the issue, neither agreeing nor disagreeing with the statement about the strength of the bank's governance policies. This large group suggests that many respondents are uncertain or indifferent about the effectiveness of governance practices in the bank.
    - **Implications**: A **42%** neutral response shows that there may be a lack of clarity or communication about the bank's governance practices. It suggests that while governance might be in place, its effectiveness or visibility to the respondents is unclear. This is an area where the bank can improve its communication and transparency to ensure stakeholders have a clearer understanding of its governance framework.
4. **Strongly Disagree (1 Respondent – 2%)**:
    - **Interpretation**: Only **2%** (1 respondent) strongly disagrees with the statement, showing they perceive the bank's governance policies as very weak or non-existent. This is a small but notable percentage and points to serious concerns about the bank's governance practices from at least one respondent.

- **Implications**: A **strongly disagree** response may reflect significant dissatisfaction with the bank's governance, such as issues with corruption, lack of ethical practices, or severe transparency problems. While the percentage is small, this feedback should be taken seriously as it highlights areas for improvement.

5. **Grand Total**:
   - The total number of respondents is **forty-three**, giving a clear picture of the feelings about the bank's governance policies. While many respondents lean toward agreement or neutrality, the smaller percentage of those disagreeing or strongly disagreeing suggests there are significant opportunities for enhancing governance policies.

- **Majority Perceived Agreement**: While **40%** of respondents agree that the bank has strong governance policies, a combined total of **58%** (those who are neutral, disagree, or strongly disagree) shows that many respondents either do not feel confident about the bank's governance or are unsure. This highlights the need for the bank to bolster its governance framework and improve stakeholder feeling.
- **Opportunity for Transparency and Communication**: The substantial proportion of **neutral** responses (**42%**) suggests that many respondents may not have enough information or understanding about the bank's governance practices. Increasing transparency and communicating governance policies more effectively could help move this neutral group toward agreement.

7. **Have you noticed any changes in your bank's operations due to ESG-related practices in recent years?**

| Governance Policies Perception | Count of Respondent ID |
|---|---|
| No | 7 |
| Not Sure | 21 |
| Yes | 15 |
| Grand Total | 43 |

Table 7: Governance Policies Perception

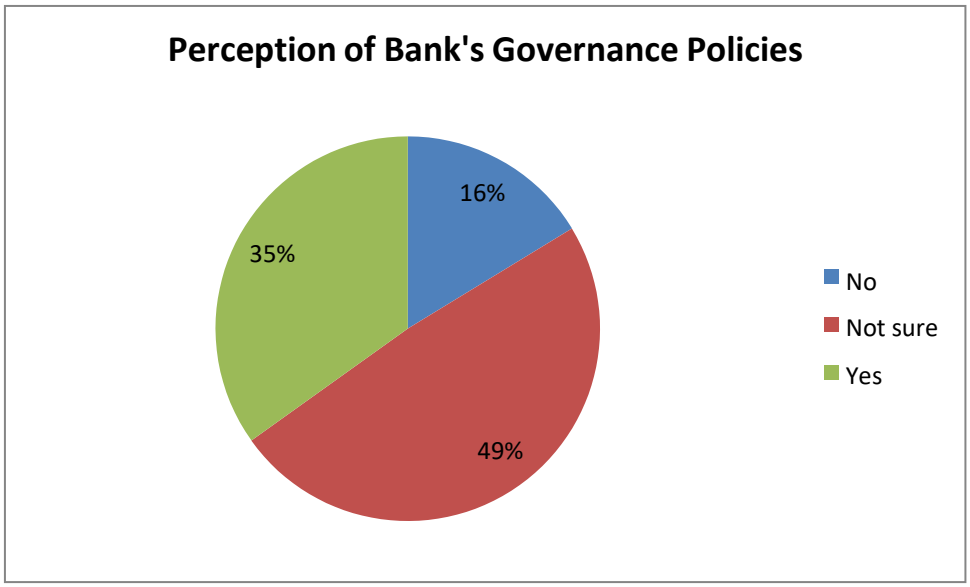


Figure 18:Perception of Bank's Governance Policies

The pie chart represents respondents' views on whether they have noticed any changes in their bank's operations due to **ESG-related practices** in recent years. The responses are categorized into **Yes**, **Not Sure**, and **No**, with a total of **forty-three** respondents.

1. **No (7 Respondents – 16%)**:
    - **Interpretation**: **16%** (7 respondents) show that they have **not** noticed any changes in their bank's operations due to ESG-related practices. This suggests that a small part of respondents does not perceive any visible or impactful changes in the bank's activities related to environmental, social, or governance factors.
    - **Implications**: The **16%** who answered **No** may not be aware of any ongoing ESG initiatives or may feel that the changes, if they exist, have not been significant enough to affect their experience with the bank. This could suggest

that ESG practices have not been fully integrated into customer-facing operations or are not effectively communicated to stakeholders.

2. **Not Sure (21 Respondents – 49%)**:
   - **Interpretation**: **49%** (21 respondents) are **not sure** whether they have noticed any changes in the bank's operations due to ESG-related practices. This substantial proportion of respondents shows a level of uncertainty or lack of clarity about the bank's involvement with ESG initiatives.
   - **Implications**: A huge part of respondents being **not sure** suggests that the bank may not be effectively communicating or showing its ESG efforts. There may be a lack of transparency or insufficient efforts to publicize the changes made in response to ESG factors. The bank may need to enhance its visibility and communication about its ESG practices to increase stakeholder awareness and engagement.
3. **Yes (15 Respondents – 35%)**:
   - **Interpretation**: **35%** (15 respondents) have noticed changes in the bank's operations due to ESG-related practices. This group perceives that the bank has taken visible steps to integrate environmental, social, or governance factors into its operations, showing a degree of success in implementing ESG initiatives.
   - **Implications**: A **35%** positive response shows that ESG practices are having an impact, but there is still a large portion of respondents who are either unsure or unaware of these changes. This suggests that while the bank is making progress, there may be a need to communicate and demonstrate ESG-related changes more effectively to all stakeholders.

- **Lack of Awareness or Communication**: The substantial proportion of **not sure** responses (**49%**) suggests that the bank may not be effectively communicating its ESG initiatives to customers. Increased transparency, reporting, and visible changes in operations could help raise awareness and solidify the bank's ESG commitment.

- **Opportunities for Improvement**: The **16%** who feel there have been no changes point to areas where the bank may not have made substantial progress in integrating ESG principles into its operations. This group could receive help from clearer communication or more visible ESG initiatives.

8. **How satisfied are you with your bank's efforts to promote sustainability and ethical business practices?**

| Perceived ESG-Related Changes | Count of Respondent ID |
|---|---|
| 1 | 3 |
| 2 | 14 |
| 3 | 19 |
| 4 | 4 |
| 5 | 3 |
| **Grand Total** | **43** |

Table 8:Perceived ESG-Related Changes

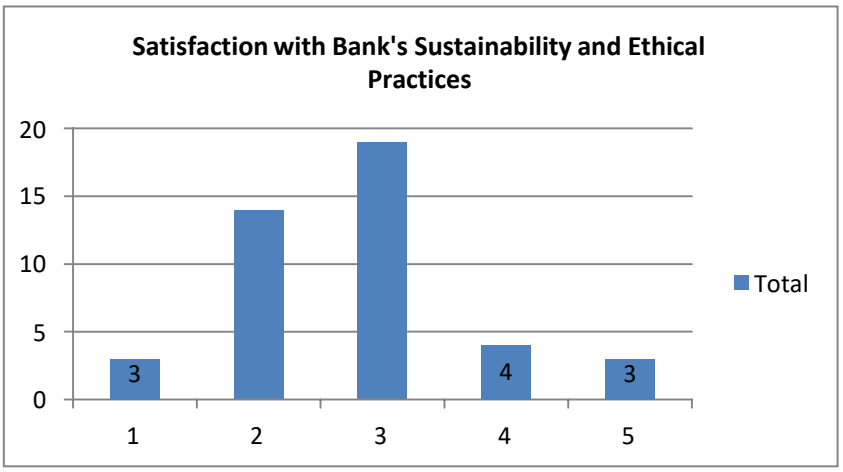


Figure 19:Satisfaction with Bank's Sustainability and Ethical Practices

The bar graph represents respondents' satisfaction with their bank's efforts to promote **sustainability** and **ethical business practices**. The responses are on a scale from **1** to **5**, with **one** being the lowest level of satisfaction and **five** being the highest. There are **forty-three** total respondents.

1. **1 (3 Respondents)**:
   - **Interpretation**: **three** respondents (7%) are very dissatisfied with the bank's efforts to promote sustainability and ethical business practices, rating the bank's efforts as **one**.
   - **Implications**: These respondents feel that the bank's sustainability and ethical practices are either very weak or non-existent. This group could be individuals who perceive a significant gap between the bank's actual practices and what is expected in terms of sustainability and ethics. Addressing the concerns of this group could involve improving transparency and visibly increasing sustainability and ethical initiatives.
2. **2 (14 Respondents)**:
   - **Interpretation**: **fourteen** respondents (33%) rate their satisfaction as **two**, showing they are dissatisfied with the bank's efforts but do not find them completely ineffective.

- **Implications**: A **33%** dissatisfaction rate suggests that a substantial proportion of respondents feel that the bank's sustainability and ethical business practices need significant improvement. These respondents may see some efforts being made but feel that the bank is not doing enough, or the actions are not sufficient in scope or impact.

3. **3 (19 Respondents)**:
   - **Interpretation**: **nineteen** respondents (44%) rate their satisfaction as **three**, which shows a **neutral** or **moderate** level of satisfaction. These respondents feel that the bank's sustainability and ethical practices are neither excellent nor bad.
   - **Implications**: The **44%** who gave a **three** rating suggest that while the bank has made some efforts in promoting sustainability and ethics, these efforts may not be perceived as outstanding or transformative. This group is a significant opportunity for the bank to move beyond basic or moderate practices to more impactful and visible sustainability and ethical initiatives.
4. **4 (4 Respondents)**:
   - **Interpretation**: **four** respondents (9%) are satisfied with the bank's efforts, rating them as **four**. They believe that the bank is making good efforts in promoting sustainability and ethical practices, though there is still room for improvement.
   - **Implications**: A **9%** rating of **four** shows that a small group of respondents believe the bank's efforts are commendable but may still have areas to improve. These respondents appreciate the bank's steps toward sustainability and ethical behaviour but see potential for further enhancement.
5. **5 (3 Respondents)**:
   - **Interpretation**: **three** respondents (7%) are highly satisfied with the bank's sustainability and ethical practices, rating them as **five**. This group views the bank as performing excellently in these areas.
   - **Implications**: A **7%** satisfaction rating of **five** shows that there is a small group of respondents who view the bank’s sustainability and ethical practices

as exemplary. These respondents see the bank as a leader in ethical business practices and sustainability.

- **Opportunity for Improvement**: With **33%** of respondents rating the bank's efforts as **2** and **44%** rating them as **three**, there is clear room for improvement in how the bank is promoting sustainability and ethical business practices. These respondents expect more from the bank in terms of meaningful actions, transparency, and commitment.
- **Need for Clear Communication**: Many respondents have a **neutral** opinion (**44%**) on the bank's efforts. This could show that the bank has made progress but needs to do more to clearly communicate its sustainability and ethical initiatives and make them more visible to stakeholders.

## Impact of ESG on Financial Performance

9. **Do you believe that integrating ESG factors can improve a bank's financial performance?**

| Belief in ESG Impact on Financial Performance | Count of Respondent ID |
|---|---|
| Agree | 25 |
| Neutral | 14 |
| Strongly Agree | 3 |
| Strongly Disagree | 1 |
| **Grand Total** | **43** |

Table 9: Belief in ESG Impact on Financial Performance

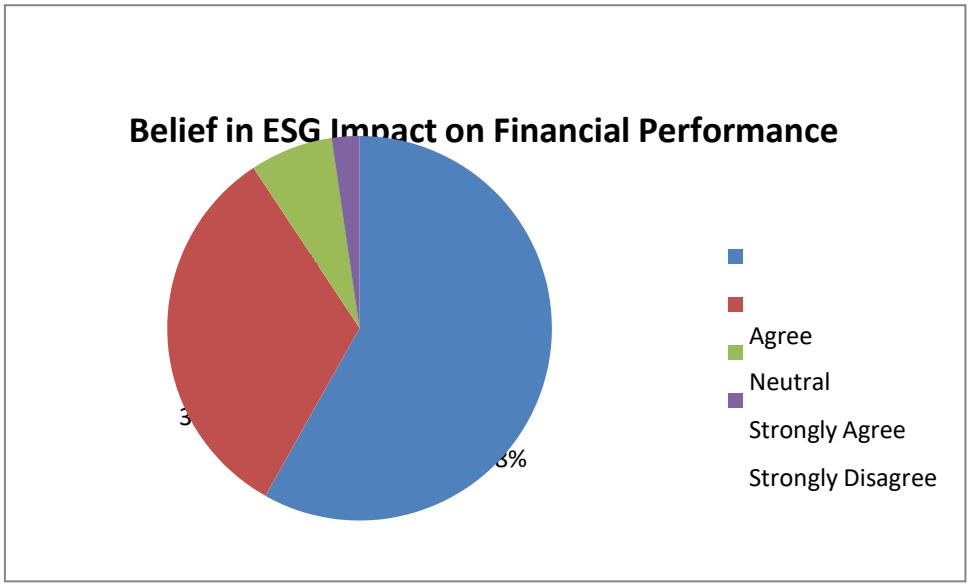


Figure 20: Belief in ESG Impact on Financial Performance

The pie chart represents respondents' beliefs about whether integrating **ESG factors** can improve a bank's **financial performance**. The responses are categorized into **Agree**, **Neutral**, **Strongly Agree**, and **Strongly Disagree**, with a total of **forty-three** respondents.

1. **Agree (25 Respondents – 58%)**:
    - **Interpretation**: **58%** (25 respondents) agree that integrating ESG factors can improve a bank's financial performance. This suggests many respondents believe that incorporating environmental, social, and governance (ESG) factors can have a positive impact on a bank's profitability, growth, and long-term sustainability.
    - **Implications**: The strong belief among **58%** of respondents in the positive impact of ESG on financial performance could be indicative of growing recognition of the importance of ethical, sustainable, and transparent business

practices in driving long-term value. These respondents may expect the bank to prioritize ESG factors for better performance, reputation, and resilience.

2. **Neutral (14 Respondents – 33%)**:
   - **Interpretation**: **33%** (14 respondents) are neutral, neither agreeing nor disagreeing with the statement. This group of respondents is uncertain about the direct impact of ESG factors on financial performance or may not have enough information to form a definitive opinion.
   - **Implications**: The **33%** neutrality suggests that there is some level of scepticism or lack of clarity about how ESG factors directly influence financial outcomes. This group could receive help from more communication or data showing the correlation between ESG practices and financial performance.
3. **Strongly Agree (3 Respondents – 7%)**:
   - **Interpretation**: **7%** (3 respondents) strongly agree that integrating ESG factors can improve a bank's financial performance. This small but important group believes that ESG practices are not just beneficial, but essential for superior financial performance.
   - **Implications**: The **7%** who strongly agree see ESG as a critical driver of future growth and profitability, positioning it as integral to a bank's strategy. This group may advocate for ESG to be at the core of business operations and decision-making.
4. **Strongly Disagree (1 Respondent – 2%)**:
   - **Interpretation**: **2%** (1 respondent) strongly disagrees, believing that integrating ESG factors will not improve financial performance. This opinion suggests that at least one respondent perceives ESG initiatives as irrelevant or even potentially detrimental to a bank's bottom line.
   - **Implications**: The **2%** disagreement may highlight concerns about the costs associated with ESG integration, or scepticism about the measurable financial benefits of such practices. This response underscores the need for banks to

effectively communicate the value proposition of ESG and show how it can be linked to financial success.

- **Majority Support for ESG Integration**: The **58%** who agree, combined with the **7%** who strongly agree, shows strong support for ESG practices to improve financial performance. This positive sentiment suggests that there is increasing recognition of the financial value of sustainability, ethical business practices, and good governance.
- **Opportunity to Address Neutrality**: The **33%** of respondents who are neutral highlight an opportunity for the bank to provide more evidence or case studies linking ESG efforts to financial success. Educating stakeholders about the long-term benefits of ESG could help shift neutral respondents toward agreement.
- **Small Percentage of Disagreement**: The **2%** of respondents who strongly disagree suggests that there is minimal opposition to the idea that ESG can improve financial performance, but the bank should still be mindful of differing views and address any concerns through targeted communication.

10. **Which aspect of ESG do you think has the most direct impact on a bank's profitability?**

| Aspect with Most Impact on Profitability | Count of Respondent ID |
|---|---|
| Environmental | 6 |
| Governance | 20 |
| Social | 17 |
| **Grand Total** | **43** |

Table 10: Aspect with Most Impact on Profitability

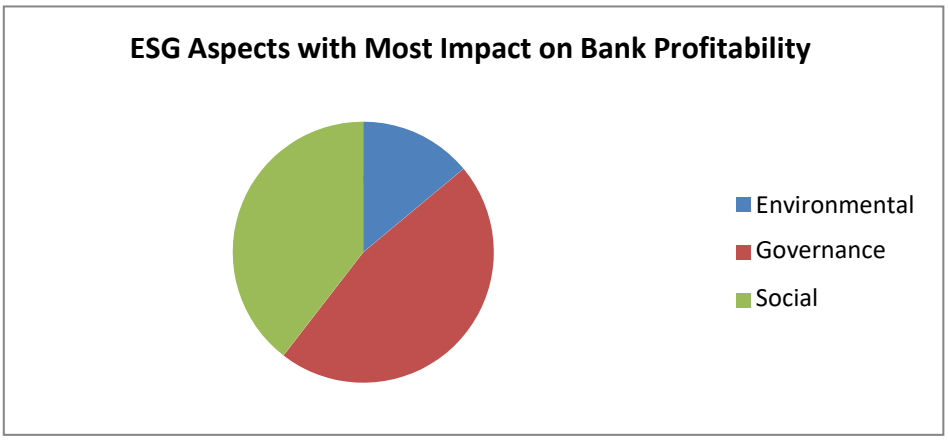


Figure 21: ESG Aspects with Most Impact on Bank Profitability

The pie chart represents respondents' views on which aspect of **ESG** (Environmental, Social, Governance) has the most direct impact on a bank's **profitability**. The responses are categorized into **Environmental**, **Governance**, and **Social**, with a total of **forty-three** respondents.

1. **Governance (20 Respondents – 46%)**:
    - **Interpretation**: **46%** (20 respondents) believe that **governance** has the most direct impact on a bank's profitability. This group values transparency, accountability, ethical practices, and strong corporate governance structures, recognizing their importance in driving profitability and long-term success.
    - **Implications**: Governance is seen as a key factor in building trust with investors, customers, and regulators, and strong governance can lead to more effective decision-making, risk management, and enhanced financial performance. This aligns with the growing focus on ethical business practices and leadership in the banking sector.
2. **Social (17 Respondents – 40%)**:
    - **Interpretation**: **40%** (17 respondents) believe that **social** factors, such as customer welfare, financial inclusion, and community development, have the most direct impact on profitability. This suggests that a focus on social

responsibility can drive customer loyalty, enhance brand reputation, and attract investors who prioritize ethical and socially responsible practices.

- **Implications**: The importance of social factors in driving profitability reflects the growing recognition of consumer preferences for socially responsible businesses. This group of respondents sees value in how a bank's social practices can create competitive advantages, foster positive relationships with customers, and improve financial outcomes.

3. **Environmental (6 Respondents – 14%)**:
   - **Interpretation**: **14%** (6 respondents) believe that **environmental** factors, such as sustainability, green finance, and reducing carbon footprints, have the most direct impact on profitability. This group sees value in how environmentally responsible practices can reduce costs, attract eco-conscious investors, and align with regulatory requirements.
   - **Implications**: Although **14%** of respondents prioritize environmental factors, the low percentage suggests that, for this group, environmental sustainability may be seen as a secondary consideration compared to governance and social factors. However, as sustainability becomes a larger focus globally, this view may shift over time as the financial benefits of green finance and sustainability efforts become clearer.

**Governance Leading in Impact**: The considerable proportion of respondents (**46%**) who view governance as the most impactful factor on profitability highlights the importance of ethical practices, risk management, and accountability in driving financial success. Banks with strong governance structures are likely to be better positioned for long-term profitability and stability.

**Social Factors Gaining Ground**: The **40%** who consider social factors to have the greatest impact emphasize the importance of customer relationships, community involvement, and corporate social responsibility in profitability. Social factors are

increasingly seen as integral to a bank's competitive advantage in a socially conscious market.

**Environmental Factors as a Growing Focus**: While **14%** of respondents see environmental factors as the most important, this percentage reflects a growing awareness of the financial benefits of sustainability, which may continue to increase as environmental issues become more urgent.

11. **To what extent do you think ESG factors influence customer loyalty and trust in a bank?**

| Perceived Influence of ESG on Loyalty and Trust | Count of Respondent ID |
|---|---|
| High impact | 8 |
| Low impact | 9 |
| Moderate impact | 26 |
| (blank) | |
| **Grand Total** | **43** |

Table 11: Perceived Influence of ESG on Loyalty and Trust

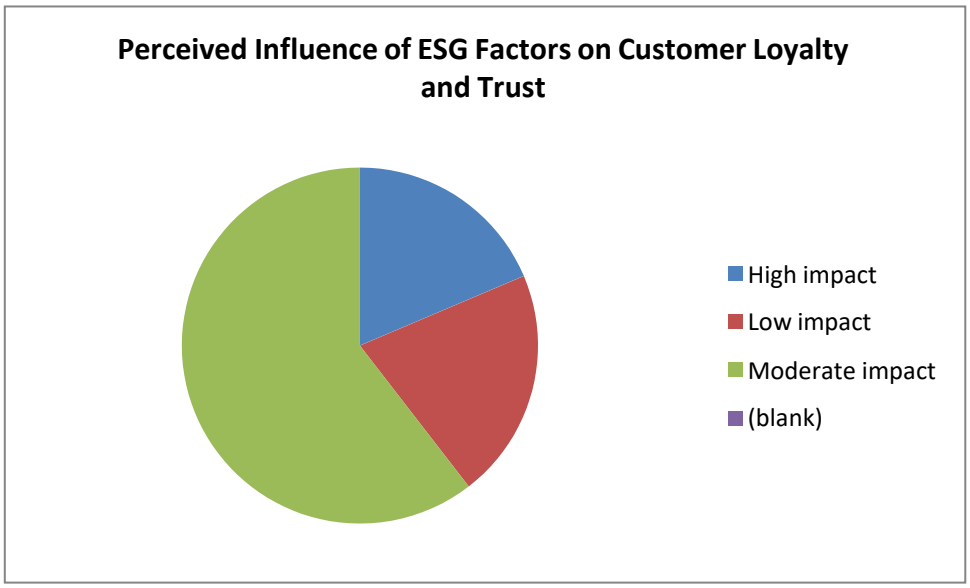


Figure 22: Perceived Influence of ESG Factors on Customer Loyalty and Trust

The pie chart represents respondents' views on the extent to which **ESG factors** influence **customer loyalty and trust** in a bank. The responses are categorized into **High impact**, **Minimal impact**, and **Moderate impact**, with a total of **forty-three** respondents.

1. **Moderate Impact (26 Respondents – 60%)**:
    - **Interpretation**: **60%** (26 respondents) believe that **ESG factors** have a **moderate impact** on customer loyalty and trust. This suggests that while ESG practices are recognized as important, their influence may not be seen as the sole or most significant factor in building customer loyalty and trust. Customers may value ESG practices but weigh other factors like service quality, reputation, and product offerings more heavily.
    - **Implications**: The **60%** showing a moderate impact highlight that ESG is becoming an important consideration, but it is considered alongside other aspects, such as customer experience and financial performance, when building trust and loyalty. This finding suggests that while ESG is valuable, it may not be a deciding factor for all customers.
2. **High Impact (8 Respondents – 19%)**:

- **Interpretation**: **19%** (8 respondents) believe that **ESG factors** have a **high impact** on customer loyalty and trust. This group recognizes ESG practices as a significant factor that can strongly influence customer decisions, proving the growing importance of sustainability, ethical business practices, and governance in fostering customer relationships.
- **Implications**: The **19%** who see a high impact may prioritize sustainability and social responsibility when choosing a bank, showing a shift toward socially conscious consumers who are increasingly aligning their financial choices with their values. These respondents may view a bank's ESG practices as a reflection of its ethical standards and long-term commitment to positive societal change.

3. **Low Impact (9 Respondents – 21%)**:
   - **Interpretation**: **21%** (9 respondents) believe that **ESG factors** have a **minimal impact** on customer loyalty and trust. This group may consider other aspects such as financial performance, product offerings, or customer service as more important when deciding on loyalty and trust. They might not prioritize ESG practices or may not perceive a strong link between ESG efforts and customer loyalty.
   - **Implications**: The **21%** who think ESG has a minimal impact highlight a segment of the customer base that may not yet recognize the full value of ESG factors or may prioritize other banking aspects more highly. This could show that ESG initiatives are still evolving in terms of their direct connection to customer retention and trust.

- **Majority Recognizing Moderate Impact**: With **60%** of respondents seeing a moderate impact, it suggests that while ESG factors are important, they are considered as part of a broader mix of factors influencing customer loyalty and trust. The influence of ESG on customer relationships is significant but may not yet be the leading factor in customer decision-making.

- **Growing Recognition of ESG's Importance**: The **19%** who see high impact reflects the growing importance of ESG, particularly among socially conscious consumers who prioritize sustainability and ethical considerations. This shows that banks can strengthen loyalty by showing a genuine commitment to ESG principles.
- **Potential for Broader Awareness**: The **21%** who perceive a minimal impact may be a segment of customers who are not yet fully aware of or engaged with ESG initiatives. As awareness of ESG increases, this group may shift toward viewing it as a more key factor in their loyalty and trust.

12. **In your experience, does adherence to ESG principles reduce risks for banks (e.g., reputational, regulatory, operational risks)?**

| Perception of ESG's Impact on Risk Reduction | Count of Respondent ID |
|---|---|
| No impact | 2 |
| Not sure | 1 |
| Yes , to some extent | 25 |
| Yes, significantly | 15 |
| (blank) | |
| **Grand Total** | **43** |

Table 12:Perception of ESG's Impact on Risk Reduction

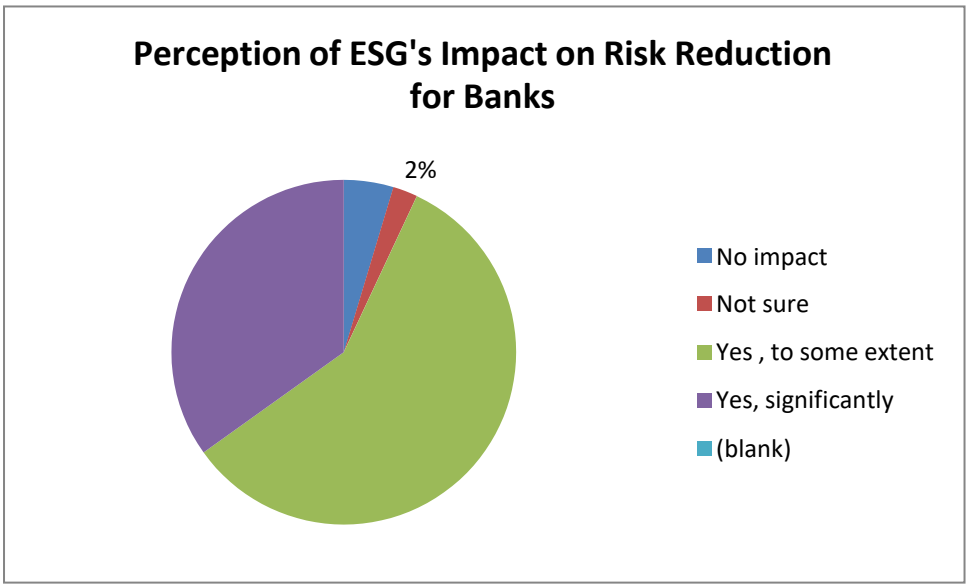


Figure 23: Perception of ESG's Impact on Risk Reduction for Banks

The pie chart represents respondents' views on whether adherence to **ESG principles** reduces **risks** for banks, including reputational, regulatory, and operational risks. The responses are categorized into **No impact**, **not sure**, **yes, to some extent**, and **yes, significantly**, with a total of **forty-three** respondents.

1. **Yes, to some extent (25 Respondents – 58%)**:
    - **Interpretation**: **58%** (25 respondents) believe that adherence to **ESG principles** reduces risks **to some extent**. This shows a consensus that while ESG practices may not cut risks, they are perceived as having a positive impact in reducing various forms of risk. This group acknowledges that ESG adherence helps mitigate reputational, regulatory, and operational risks, but perhaps not to the fullest extent.
    - **Implications**: The **58%** seeing some reduction in risk emphasize that ESG principles contribute to reducing exposure to risks, particularly in the areas of reputation management, regulatory compliance, and operational sustainability. This suggests that while ESG is a helpful tool for risk management, it is not a complete safeguard on its own.

2. **Yes, significantly (15 Respondents – 35%)**:
    - **Interpretation**: **35%** (15 respondents) believe that adherence to **ESG principles** reduces risks **significantly**. This group sees a strong correlation between ESG practices and a reduction in risks, showing that they view ESG as a powerful strategy for mitigating reputational, regulatory, and operational risks in the banking sector.
    - **Implications**: The **35%** who believe in a significant reduction in risk highlight that these respondents see ESG practices as integral to a bank's long-term stability and success. Strong ESG adherence can help a bank avoid scandals, support regulatory compliance, and improve operational resilience, making it a vital element of risk management.
3. **No impact (2 Respondents – 5%)**:
    - **Interpretation**: **5%** (2 respondents) believe that adherence to **ESG principles** has **no impact** on reducing risks. These respondents might feel that ESG practices do not effectively address or mitigate the specific risks faced by banks or that other risk management strategies are more relevant and effective.
    - **Implications**: The **5%** who see no impact may either be sceptical about the actual effectiveness of ESG principles in managing risks or may prioritize traditional risk management techniques over ESG-focused strategies. This small group may not yet be convinced of the direct link between ESG and risk reduction.
4. **Not sure (1 Respondent – 2%)**:
    - **Interpretation**: **2%** (1 respondent) is **unsure** about the impact of ESG principles on risk reduction. This suggests a lack of clarity or experience in seeing the effects of ESG practices on risk management.
    - **Implications**: The **2%** who are unsure may need more exposure or experience with ESG practices to form a clear opinion on their risk-reduction capabilities. As awareness and understanding of ESG grow, this group may become more informed about how ESG can help mitigate risks.

- **Widespread Belief in Risk Reduction**: The **58%** of respondents who believe that ESG reduces risks to some extent, along with the **35%** who see significant risk reduction, show strong recognition of the role that ESG plays in risk management. Most respondents agree that ESG is beneficial in reducing several types of risk, although opinions vary on the extent of its impact.
- **ESG as a Risk Mitigation Tool**: The belief that **58%** of respondents see "some extent" of risk reduction suggests that ESG is viewed as a valuable tool in reducing risks. However, respondents may feel that other factors, such as traditional risk management frameworks, still play a crucial role in overall risk mitigation.
- **Small Group Sceptical of ESG Impact**: The **5%** who see no impact on risk reduction, along with the **2%** who are unsure, suggest that there is still a small group of respondents who either do not fully understand or do not believe in the tangible benefits of ESG practices in managing risks. As the evidence for ESG's effectiveness in risk mitigation continues to grow, this group may shift its view.

## 4.3 Descriptive Analysis

### Demographic Analysis

| Bank Name | Total Assets (Trillion | Branches in Indi | Market Capitalization (Trillion) | Headquarters | International Branche | Employees | Year Establish |
|---|---|---|---|---|---|---|---|
| State Bank of India (SBI) | 60.29 | 22405 | 7.27 | Mumbai, Maharashtra | 233 | 250000 | 1955 |
| Punjab National Bank (PNB) | 12.11 | 10528 | 0.45 | New Delhi | 13 | 100000 | 1894 |
| Bank of Baroda (BoB) | 11.03 | 8200 | 0.4 | Vadodara, Gujarat | 107 | 80000 | 1908 |
| Canara Bank | 11.02 | 9800 | 0.42 | Bengaluru, Karnataka | 8 | 80000 | 1906 |
| Union Bank of India | 10.05 | 9500 | 0.32 | Mumbai, Maharashtra | 7 | 70000 | 1919 |
| Indian Bank | 6.54 | 6000 | 0.25 | Chennai, Tamil Nadu | 4 | 40000 | 1907 |
| Bank of India | 6.72 | 5000 | 0.28 | Mumbai, Maharashtra | 29 | 45000 | 1906 |
| Central Bank of India | 5.84 | 4600 | 0.17 | Mumbai, Maharashtra | 0 | 30000 | 1911 |
| Indian Overseas Bank | 3.81 | 3200 | 0.25 | Chennai, Tamil Nadu | 4 | 25000 | 1937 |
| UCO Bank | 3.51 | 3000 | 0.15 | Kolkata, West Bengal | 4 | 20000 | 1943 |

Table 13: Demographic Analysis

This dashboard, titled **"Branch Network and Market Insights for Indian PSBs"**, provides an overview of key metrics related to Indian Public Sector Banks (PSBs). The visuals are organized to help understand the geographic presence, employee distribution, branch distribution, and financial comparison between different PSBs.

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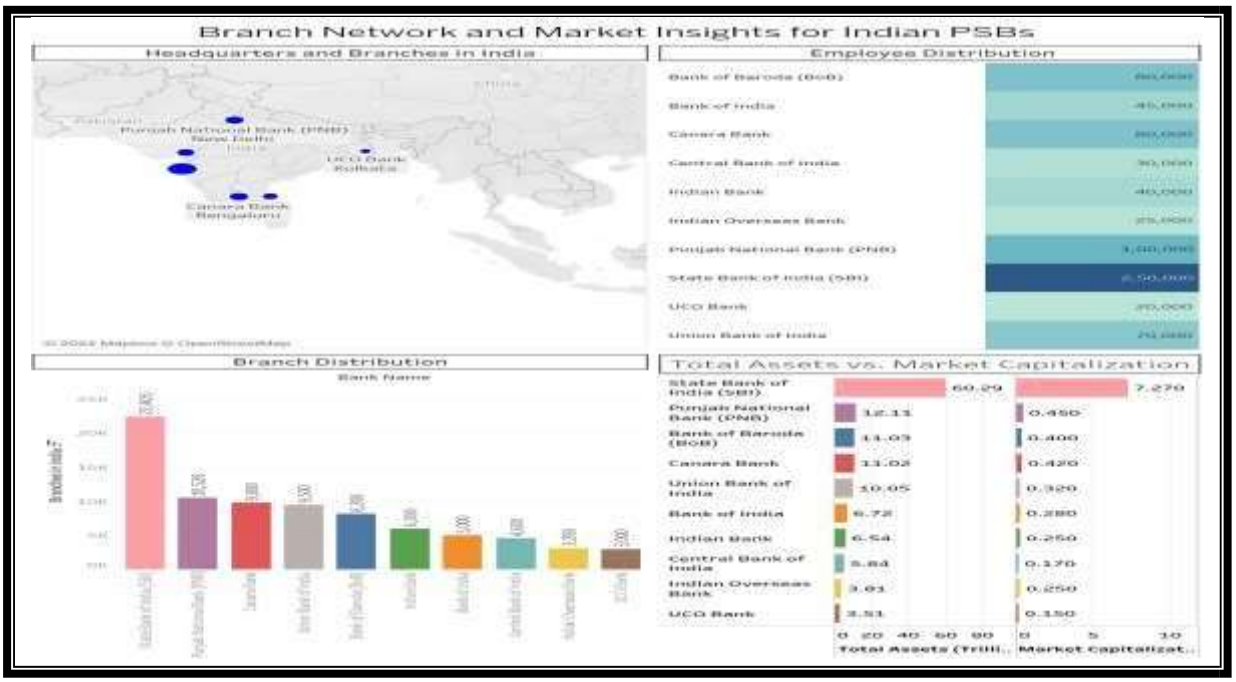


**Figure 24:Market insight of PSB.**

Here is a breakdown of each part:

1. **Headquarters and Branches in India (Map Visualization)**:
    - This map shows the headquarters locations of selected PSBs across major Indian cities, represented by large blue dots.
    - Each dot shows the size or importance of the headquarters, giving a visual context of where the major offices are found. Labels find the specific banks and their headquarters (e.g., Punjab National Bank in New Delhi, UCO Bank in Kolkata).
2. **Employee Distribution (Heat Map)**:
    - This panel provides the number of employees in each PSB, using a colour scale to show the size of the workforce.
    - The darker shades correspond to banks with a higher employee count. For example, **State Bank of India (SBI)** has the highest number of employees at 250,000, highlighted in a dark blue shade, while UCO Bank has the fewest at 20,000.
    - This distribution highlights the workforce scale across different banks, giving a sense of the operational size of each PSB.
3. **Branch Distribution (Bar Chart)**:
    - This bar chart shows the number of branches each PSB operates within India.
    - **State Bank of India (SBI)** has the largest branch network with 22,405 branches, making it the most widespread PSB, followed by Punjab National Bank (10,528) and Canara Bank (9,500).
    - This chart provides insight into the reach and accessibility of each bank's services across India.
4. **Total Assets vs. Market Capitalization (Bar Chart)**:
    - This chart compares the total assets (in trillions) and market capitalization (in billions) of each PSB.

- The **State Bank of India (SBI)** stands out with the largest asset base (60.29 trillion) and the highest market capitalization (7.27 billion), showing its leading position in the sector.
- Other banks like Punjab National Bank, Bank of Baroda, and Canara Bank have much smaller assets and market capitalization, showing a sharp contrast with SBI.
- This comparison gives a clear view of each bank's financial size and value in the market.

## 4.4 Financial Performance Analysis

### 1. Profitability Analysis

| Bank Name | Net Income (cr.) | Total Assets (Trillion) | Shareholders Equity (cr | Average Earning Assets (cr | Return on Assets (ROA | Return on Equity (RO | Net Interest Margi |
|---|---|---|---|---|---|---|---|
| State Bank of India (SBI) | 50,232 | 60.29 | 892,46 | 38,824,46 | 0.82% | 5.63% | 2.73% |
| Punjab National Bank (PNB) | 3,418 | 12.11 | 2,202.20 | 7,328,20 | 0.28% | 1.55% | 2.12% |
| Bank of Baroda (BoB) | 14,110 | 11.03 | 1,035.53 | 6,829,53 | 1.29% | 13.62% | 2.64% |
| Canara Bank | 10,694 | 11.02 | 1,814.13 | 6,815,13 | 0.97% | 5.90% | 2.58% |
| Indian Bank | 5,632 | 6.54 | 1,346.96 | 4,024,96 | 0.86% | 4.18% | 2.48% |
| Union Bank of India | 8,511 | 10.05 | 7,633.61 | 6,126,61 | 0.84% | 1.11% | 2.49% |
| Bank of India | 3,405 | 6.72 | 4,553.41 | 4,119,41 | 0.51% | 0.75% | 2.21% |
| Central Bank of India | 1,582 | 5.84 | 8,680.94 | 3,574,94 | 0.27% | 0.18% | 2.04% |
| Indian Overseas Bank | 2,089 | 3.81 | 18,902.41 | 2,341,21 | 0.55% | 0.11% | 2.10% |
| UCO Bank | 1,862 | 3.51 | 11,955.96 | 2,153,96 | 0.53% | 0.16% | 2.05% |
| Mean | | | | | 0.69% | 3.32% | 2.34% |
| Median | | | | | 0.69% | 1.33% | 2.35% |
| Standard Deviation | | | | | 0.30% | 4.04% | 0.25% |

Table 14:Profitability Analysis

Profitability Ratios and Their Formulas

1. **Return on Assets (ROA)**:
   - **Formula**:

ROA= NET INCOME/TOTAL ASSETS X100

   - **Explanation**: ROA measures how efficiently a bank uses its assets to generate profit. Higher ROA shows better asset use.
   - **Analysis**: ROA values range from a low of 0.27% (Central Bank of India) to a high of 1.29% (Bank of Baroda). The average ROA across the banks is 0.69%, with a standard deviation of 0.30%.
   - **Interpretation**: Bank of Baroda has the highest asset efficiency among the listed banks, generating more income per unit of assets. In contrast, Central Bank of India has a low ROA, showing weaker asset use. The overall low average ROA suggests that Indian public sector banks are conservative in asset deployment, which could be influenced by regulatory constraints and risk management practices.
2. **Return on Equity (ROE)**:
   - **Formula**:

ROE=TOTALINCOME/SHAREHOLDER'EQUITYX100

   - **Explanation**: ROE assesses the return generated on shareholders' investments. A higher ROE shows that the bank is effectively generating profit relative to its equity.

- **Analysis**: ROE values vary widely, from just 0.11% (Indian Overseas Bank) to a high of 13.62% (Bank of Baroda). The mean ROE is 3.32%, with a high standard deviation of 4.04%, showing significant variability.
- **Interpretation**: Bank of Baroda stands out with an exceptionally high ROE, showing strong profitability relative to its shareholders' equity. This could imply effective management and operational efficiency. On the other hand, Indian Overseas Bank and Central Bank of India show extremely low ROEs, potentially signalling underperformance, or high capital requirements. The large spread in ROE values reveals differences in capital structure and profitability strategies among these banks.

3. **Net Interest Margin (NIM)**:
   - **Formula**:

$$\text{NIM} = \frac{\text{Net Interest Income}}{\text{Average Earning Assets}} \times 100$$

   - **Explanation**: NIM measures the difference between the interest income generated and the interest expenses, compared to earning assets. It reflects the bank's efficiency in earning interest relative to its investments.
   - **Analysis**: NIM values range from 2.04% (Central Bank of India) to 2.73% (State Bank of India), with an average of 2.34% and a standard deviation of 0.25%.
   - **Interpretation**: NIM reflects how well each bank manages its interest income relative to its earning assets. State Bank of India has the highest NIM, suggesting an advantage in generating interest income over its interest expenses, which may stem from a diversified asset base or competitive loan pricing. Lower NIM values for some banks could show higher costs of funds or a greater reliance on low-interest-bearing assets.

**General Observations on Profitability**:

- **Variability**: The high standard deviation in ROE compared to ROA and NIM suggests that equity returns are more variable across banks, due to differences in capital management and profitability structures.
- **Performance Leaders**: State Bank of India and Bank of Baroda appear as leaders in profitability metrics, with strong ROA, ROE, and NIM values. This can be attributed to their scale, better risk management, and effective use of resources.
- **Underperformers**: Banks like Central Bank of India, Indian Overseas Bank, and UCO Bank exhibit low profitability across multiple metrics, showing operational or structural inefficiencies. These banks may have higher costs, weaker asset quality, or other constraints affecting their performance.

**Descriptive Statistics**

1. **Mean**:
   - **Formula**:

$$\text{Mean} = \frac{\sum_{i=1}^{n} X_i}{n}$$

   - **Explanation**: The mean provides the average value across all banks, which gives a benchmark for each profitability metric.
2. **Median**:
   - **Formula**: If data is ordered, the median is the middle value for an odd number of observations or the average of the two middle values for an even number of observations.
   - **Explanation**: The median gives the central value in the dataset, reducing the impact of extreme values and providing insight into the typical profitability level.
3. **Standard Deviation (SD)**:
   - **Formula**:

$$SD = \sqrt{\frac{\sum_{i=1}^{n}(X_i - \text{Mean})^2}{n-1}}$$

- **Explanation**: Standard deviation shows the variability in profitability metrics. A higher SD shows more variation among the banks' profitability.

### *Profitability Metrics Comparison for Indian Public Sector Banks.*

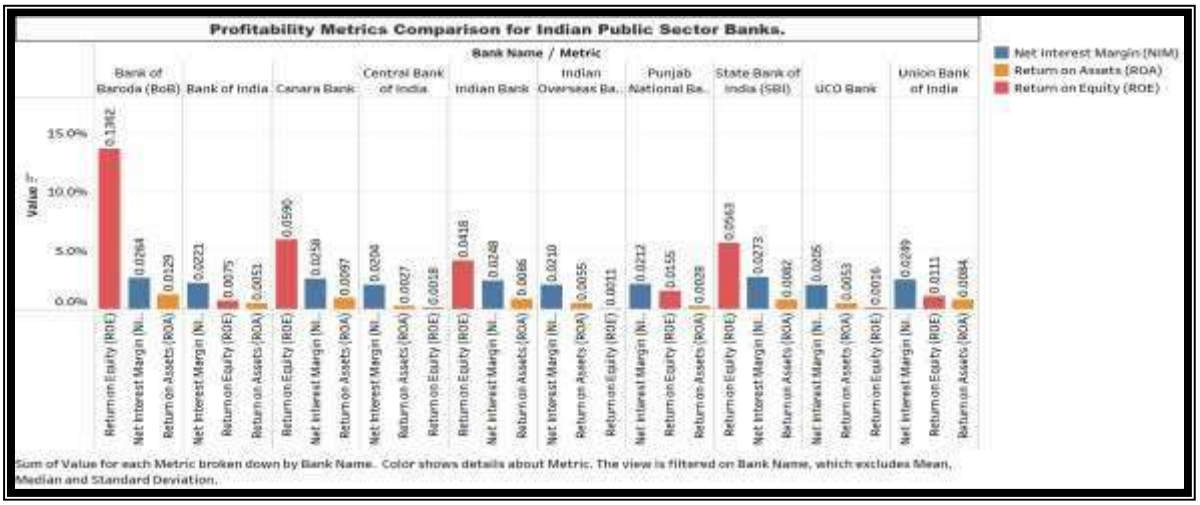


Figure 25:Profitability Metrics Comparison for Indian Public Sector Banks.

This bar chart visualizes the profitability metrics of Indian Public Sector Banks (PSBs) by comparing three key ratios: **Net Interest Margin (NIM)**, **Return on Assets (ROA)**, and **Return on Equity (ROE)**. The graph shows each bank's performance for these metrics, providing insights into their profitability and efficiency.

**Key Observations:**

1. **Return on Equity (ROE):**
   - Bank of Baroda has the highest ROE at **13.62%**, showing it generated a higher return relative to its shareholders' equity compared to other banks.
   - State Bank of India (SBI) also shows a high ROE at **5.63%**.

- Some banks, such as Central Bank of India and Indian Overseas Bank, have extremely low ROEs (close to **0%**), showing they may not be as effective at generating returns on their equity investments.

2. **Return on Assets (ROA):**
   - ROA values are low across all banks, with Bank of Baroda showing the highest at **1.29%**.
   - Most banks have ROAs below **1%**, reflecting the high asset base typical in the banking sector, which tends to lower the ROA as returns are measured against total assets.
   - The low ROA values show a moderate efficiency in generating net income from assets.
3. **Net Interest Margin (NIM):**
   - NIM values are consistent across banks, between **2% and 3%**.
   - SBI has the highest NIM at **2.73%**, followed by Bank of Baroda at **2.64%**.
   - A higher NIM indicates better profitability from lending activities, as it measures the difference between interest income and expenses compared to earning assets.

**General Insights:**

- **Bank of Baroda** and **State Bank of India (SBI)** appear as the top performers across all three metrics, showing stronger profitability and operational efficiency compared to other banks.
- **Indian Overseas Bank**, **Central Bank of India**, and **UCO Bank** show significantly lower ROE and ROA, suggesting challenges in profitability and efficient asset use.
- The consistent NIM values across banks imply a similar level of profitability from core lending activities, although ROE and ROA show significant variation, highlighting differences in equity efficiency and asset use.

## 4.5 ESG ANLYSIS

### CRISIL ESG Ratings

| Name | Sector classification | Environment Score | Social Score | Governance Score | ESG Rating | Category | Rating Period |
|---|---|---|---|---|---|---|---|
| Punjab National Bank | Banks | 49 | 64 | 62 | 58 | Adequate | Mar-23 |
| Bank of Baroda | Banks | 59 | 66 | 61 | 62 | Strong | Mar-23 |
| Bank of India | Banks | 47 | 56 | 61 | 55 | Adequate | Mar-23 |
| Indian Bank | Banks | 55 | 64 | 60 | 59 | Adequate | Mar-23 |
| Indian Overseas Bank | Banks | 54 | 63 | 58 | 58 | Adequate | Mar-23 |
| Union Bank of India | Banks | 51 | 64 | 65 | 60 | Adequate | Mar-23 |
| UCO Bank | Banks | 52 | 62 | 63 | 59 | Adequate | Mar-23 |
| Canara Bank | Banks | 51 | 68 | 68 | 62 | Strong | Mar-23 |
| Central Bank of India | Banks | 55 | 65 | 63 | 61 | Strong | Mar-23 |

Table 15:CRISIL ESG Ratings

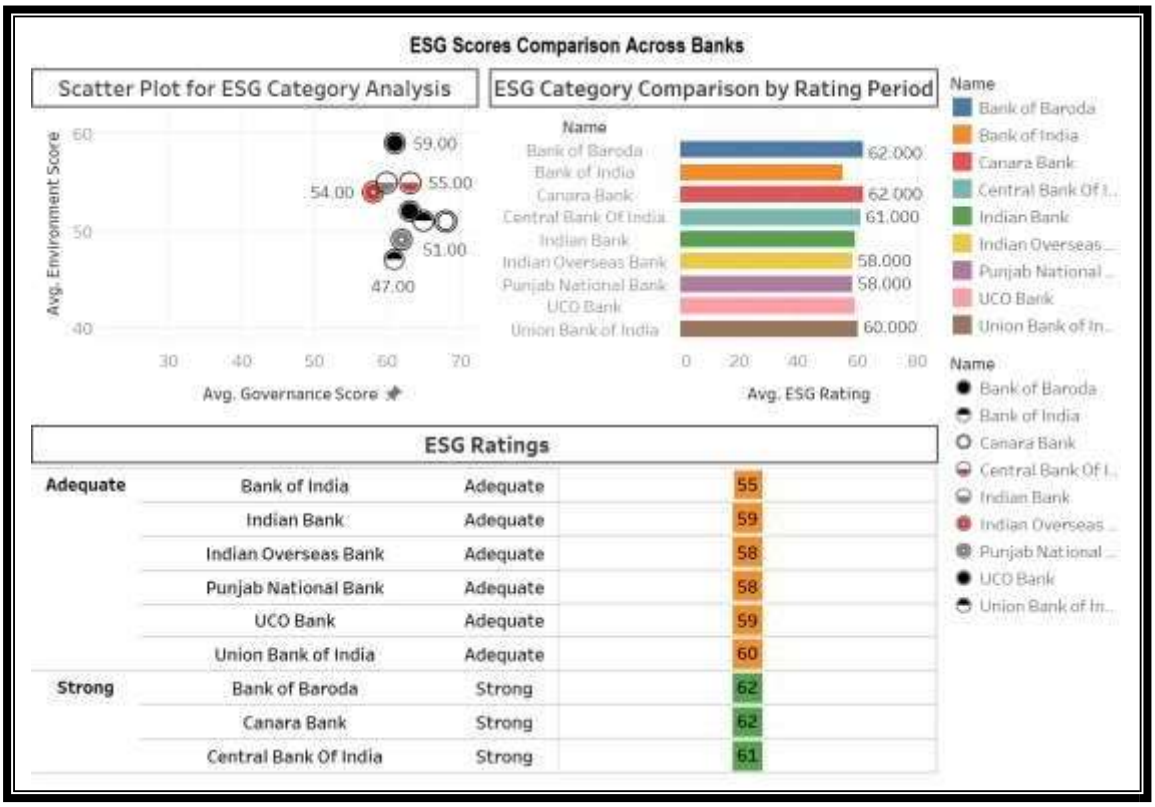


Figure 26: ESG Scores Comparison Across Banks

### 1. Scatter Plot for ESG Category Analysis

- The scatter plot visualizes the environmental and governance scores of the banks. It shows how each bank scores across these two dimensions, allowing for a comparison of their strengths and weaknesses.
- Banks like **Bank of Baroda** and **Canara Bank** are positioned towards the top-right corner, showing higher environmental and governance scores, and are classified as ―Strong‖ in ESG ratings.
- On the other hand, **Bank of India** and **Indian Overseas Bank** have lower governance and environmental scores, which places them in the "Adequate" ESG rating category.

### 2. ESG Category Comparison by Rating Period

- This bar chart provides an average ESG rating comparison for each bank.
- **Bank of Baroda** and **Canara Bank** stand out with the highest average ESG ratings of sixty-two, followed closely by **Central Bank of India** at 61.
- **Union Bank of India** and **Indian Overseas Bank** are on the lower end with average ESG scores of fifty-eight, categorized as ―Adequate.‖
- This visualization helps in finding the leaders in ESG compliance and highlights banks that may need improvement.

### 3. ESG Ratings Table

- The table categorizes banks based on their ESG performance as either ―Strong‖ or ―Adequate.‖
- **Bank of Baroda**, **Canara Bank**, and **Central Bank of India** are rated as "Strong," showing a robust ESG compliance, which can enhance their credibility and appeal to socially responsible investors.
- The remaining banks fall under the ―Adequate‖ category, suggesting moderate compliance and areas where these banks could improve to elevate their ESG ratings.

### 4. CRISIL ESG Ratings Detailed Table

- This table provides a breakdown of each bank's scores across Environment, Social, and Governance dimensions.
- **Bank of Baroda** has a high environmental score of 59 and a social score of 66, making it one of the top performers overall.
- **Indian Bank** and **Central Bank of India** have strong governance scores of sixty-three, which could imply effective corporate governance practices.
- In contrast, **Bank of India** has a lower environmental score of 47, and **Punjab National Bank** has a low environmental score of 49, suggesting that these banks might need to adopt more environmentally sustainable practices.

**Interpretation**

- The data shows that ESG ratings in the banking sector vary significantly across institutions, with some banks showing stronger commitments to ESG principles than others.
- **Leaders** like Bank of Baroda, Canara Bank, and Central Bank of India are paving the way in ESG compliance, which could positively affect their market feeling and align with regulatory expectations and investor demands for sustainable practices.
- **Areas of Improvement**: Banks in the "Adequate" category, especially those with lower environmental scores, should consider enhancing their environmental practices to improve their ESG scores.
- **Implications**: Higher ESG ratings not only contribute to the reputation of these banks but can also offer competitive advantages, attract ESG-conscious investors, and foster long-term financial sustainability.

# CHAPTER -5

## 5. SUMMARY OF FINDINGS, CONCLUSIONS, AND SUGGESTIONS

### 5.1 SUMMARY OF FINDINGS

This study aimed to analyze the impact of Environmental, Social, and Governance (ESG) factors on the financial performance of Indian Public Sector Banks (PSBs), integrating both secondary financial data analysis and primary survey data. Key findings from the analysis of profitability metrics, ESG performance, and survey results are as follows:

**1. Profitability Analysis**

1. **Return on Assets (ROA):**
   - The average ROA across the banks studied was 0.69%, with Bank of Baroda leading at 1.29%, showing stronger asset efficiency. Banks like Central Bank of India showed a weaker ROA of 0.27%, suggesting challenges in using assets effectively to generate profits.
2. **Return on Equity (ROE):**
   - ROE varied significantly, with Bank of Baroda showing a high ROE of 13.62%, reflecting its strong profitability compared to shareholders' equity. Other banks such as Indian Overseas Bank and Central Bank of India reported low ROEs, showing inefficiencies in delivering value to shareholders.
3. **Net Interest Margin (NIM):**
   - State Bank of India showed the highest NIM at 2.73%, showing better interest income generation compared to expenses. Banks with lower NIMs may face

challenges in managing their funding costs or may be affected by lower asset quality.

## 2. ESG Performance Analysis

1. **CRISIL ESG Ratings:**
   - Banks such as Bank of Baroda and Canara Bank earned "Strong" ESG ratings (average score of 62), reflecting their robust commitment to environmental, social, and governance factors. On the other hand, banks like Bank of India and Indian Overseas Bank had "Adequate" ratings, showing room for improvement in sustainability and governance efforts.
2. **Environmental and Governance Performance:**
   - Bank of Baroda and Canara Bank showed stronger environmental practices, scoring fifty-nine in environmental metrics. In contrast, banks like Punjab National Bank and Bank of India had lower environmental scores, suggesting a need for improvement in their environmental sustainability initiatives.
   - Governance scores were higher, with Indian Bank and Central Bank of India earning scores of sixty-three, showing stronger governance frameworks. However, banks rated "Adequate" in governance practices still have opportunities for improvement in transparency, regulatory compliance, and risk management.

## 3. Survey Analysis Findings

1. **ESG Awareness:**
   - **Fifty-four percent of respondents** reported being aware of ESG factors, while **47%** were unaware. This suggests an important level of awareness about ESG in the banking sector, though there is still a substantial part of the population that requires more education on the subject.
2. **Understanding of ESG Factors:**

- **81.4% of respondents** had a basic understanding of ESG factors, while **16.3%** had a moderate understanding, and only **2.3%** had an extensive understanding. This shows that most individuals in the sample have a foundational understanding of ESG, but there is a need for more comprehensive education on its full implications in banking.

3. **Most Important ESG Factors for Long-Term Bank Success:**
   - **Forty-four percent of respondents** prioritized social factors as the most important for a bank's long-term success, followed by **28%** who prioritized governance and **28%** who prioritized environmental factors. This highlights that respondents see social aspects (e.g., customer relations, community impact) as having the most significant role in shaping a bank's future, but there is also notable importance placed on governance and environmental concerns.
4. **Bank Commitment to Environmental Practices:**
   - Survey respondents viewed the banks' environmental commitment as **moderate**, with **37.2%** saying the banks were moderately committed and **25.6%** saying they were not committed at all. Only **37.2%** of respondents saw banks as slightly committed, showing that banks have substantial room for improvement in environmental sustainability practices.
5. **Bank's Promotion of Social Responsibility:**
   - **Forty-nine percent of respondents** rated the banks' efforts in social responsibility as **fair**, while **28%** rated it as **good**, and **21%** rated it as **poor**. This suggests that while there is some level of commitment, banks still have significant gaps in promoting social responsibility in a manner that resonates with stakeholders.
6. **Feeling of Governance Policies:**
   - **Forty percent of respondents** agreed with the current governance policies of banks, while **42%** were neutral, and **16%** disagreed. A massive part of respondents stays neutral or dissatisfied, showing the need for banks to improve communication and transparency about their governance frameworks.

## 5.2 CONCLUSION

The study on the impact of Environmental, Social, and Governance (ESG) factors on the financial performance of Indian Public Sector Banks (PSBs) reveals critical insights into how banks' sustainability practices influence their financial outcomes. By integrating both secondary financial data analysis and primary survey findings, the research provides a holistic understanding of the current state of ESG integration in the Indian banking sector.

**Key Conclusions:**

1. **Link Between ESG and Financial Performance:**
   - The analysis of profitability metrics, such as Return on Assets (ROA), Return on Equity (ROE), and Net Interest Margin (NIM), shows that larger and more established banks with robust ESG practices, like Bank of Baroda and State Bank of India, perform better financially. This supports the notion that ESG performance is not only a matter of corporate responsibility but also a driver of financial success.
2. **Importance of ESG Factors for Long-Term Success:**
   - The survey reveals that while awareness of ESG is high, understanding of its broader implications stays basic among respondents. Social factors were identified as the most important for a bank's long-term success, followed by governance and environmental concerns. This suggests that while governance and environmental practices are important, the social dimension of ESG holds significant weight in stakeholders' feelings of a bank's future viability.
3. **Room for Improvement in ESG Integration:**
   - Despite positive ESG ratings for some banks, a massive part of respondents perceives banks as only moderately committed to environmental practices and social responsibility. This shows that Indian PSBs have substantial opportunities to enhance their ESG efforts, particularly in terms of environmental sustainability and social engagement. Improving transparency

and governance practices is also vital for building trust with customers, regulators, and investors.

4. **Survey Insights:**
   - The primary data analysis shows that a large portion of respondents (54%) is aware of ESG factors, but there is a need to enhance the depth of understanding across different stakeholder groups. A massive part of the respondents stays neutral or dissatisfied with the current governance policies, suggesting that better communication and transparency about governance frameworks are essential for improving feelings and stakeholder trust.
5. **Strategic Recommendations for Banks:**
   - PSBs should prioritize strengthening their ESG initiatives, focusing particularly on enhancing environmental sustainability, promoting social responsibility, and improving governance structures. Banks should also invest in educating both internal and external stakeholders about the benefits of ESG practices, as this can foster greater understanding and support for these initiatives.
   - Additionally, integrating ESG metrics into core business strategies and decision-making can help banks improve operational efficiency, build stronger stakeholder relationships, and boost financial performance. Developing a more comprehensive ESG communication strategy will also be crucial in enhancing public feeling and ensuring that stakeholders fully understand the value of these efforts.

In conclusion, the integration of ESG factors into the operations of Indian Public Sector Banks is not just an ethical consideration but also a strategic one that can drive financial performance. While there is already a significant level of awareness and some degree of ESG implementation within the sector, there is still much to be done. A continued focus on improving ESG practices, along with more effective communication and education, will be key to fostering a sustainable and profitable banking environment in the future. By aligning ESG initiatives with business aims, PSBs can not only enhance their financial performance

but also contribute positively to social and environmental goals, making them more competitive and resilient in the evolving global market.

## 5.3 Suggestions

Based on the findings of the study on the impact of Environmental, Social, and Governance (ESG) factors on the financial performance of Indian Public Sector Banks (PSBs), several key suggestions can be made to help banks enhance their ESG practices and, in turn, improve their financial and non-financial outcomes.

### 1. Enhance ESG Awareness and Training Programs:

- **Expand Stakeholder Education:** While the survey results show that most respondents are aware of ESG, their understanding of its broader impact is still basic. Banks should invest in targeted education and awareness programs for employees, stakeholders, and customers. These programs can focus on the long-term benefits of ESG integration, covering both financial and non-financial outcomes.
- **Training for Management:** Senior management and board members should be provided with regular ESG training to ensure that they are well-informed about the latest trends, regulations, and practices in sustainability. This will enable them to make informed strategic decisions and integrate ESG more effectively into the banks' operations.

### 2. Strengthen ESG Governance and Reporting:

- **Improve Transparency in Governance Practices:** A massive part of survey respondents expressed dissatisfaction or neutrality about banks' governance policies. Banks should focus on increasing transparency in their governance frameworks by regularly disclosing ESG performance, including the progress of environmental and social initiatives. This can build trust with stakeholders, especially investors and customers.

- **Adopt Standardized ESG Reporting:** To further improve transparency, Indian PSBs should adopt globally recognized ESG reporting frameworks such as the Global Reporting Initiative (GRI) or the Task Force on Climate-related Financial Disclosures (TCFD). Standardized reporting will make it easier for stakeholders to assess ESG performance across the sector and compare it with global best practices.

**3. Focus on Environmental Sustainability:**

- **Invest in Green Banking Initiatives:** The findings suggest that there is room for improvement in environmental practices among Indian PSBs. Banks should increase their investments in green banking initiatives such as financing renewable energy projects, offering green bonds, and reducing their own carbon footprint. Incorporating environmental sustainability into the core business model will not only enhance their ESG ratings but also attract eco-conscious investors and customers.
- **Implement Energy Efficiency Measures:** PSBs should consider implementing energy-efficient measures in their own operations, such as upgrading to energy-efficient buildings, reducing waste, and promoting digital banking to minimize the environmental impact of physical infrastructure.

**4. Promote Social Responsibility and Community Engagement:**

- **Strengthen Social Impact Programs:** The survey revealed mixed feelings of how well banks promote social responsibility. Indian PSBs should increase their efforts to support social initiatives, particularly those that focus on financial inclusion, healthcare, education, and poverty alleviation. These initiatives should be aligned with the bank's core values and offer tangible benefits to underserved communities.
- **Enhance Employee Well-being:** Social responsibility also extends to the treatment of employees. Banks should focus on improving employee welfare, diversity, and inclusion programs. Creating a more inclusive and fair work environment will improve employee satisfaction and retention, which in turn contributes to better organizational performance.

**5. Leverage Technology for ESG Implementation:**

- **Adopt FinTech Solutions for Sustainability:** PSBs can partner with FinTech companies to implement technological solutions that promote ESG practices. For instance, digital tools can help track the bank's sustainability efforts, improve energy efficiency, and create products that promote financial inclusion or environmental sustainability.
- **Digitalize ESG Metrics Tracking:** Banks should invest in technology to streamline the collection and reporting of ESG metrics. This could include using artificial intelligence (AI) and data analytics tools to check and report on ESG performance in real time, which will make it easier to find areas for improvement and meet regulatory requirements.

**6. Improve Customer Engagement on ESG Issues:**

**Develop ESG-focused Financial Products:** Banks should develop financial products that cater to the growing demand for sustainability-focused investments. This includes green bonds, ESG-compliant mutual funds, and socially responsible investment (SRI) options that align with customers' values.

- **Raise Public Awareness:** Banks should also engage with customers to raise awareness about the importance of ESG and encourage them to make sustainable financial choices. This could be done through marketing campaigns, workshops, and customer engagement programs that highlight the role of ESG in creating a better future.

**7. Regularly Monitor and Review ESG Strategies:**

- **Conduct ESG Performance Reviews:** Banks should regularly assess their ESG strategies to ensure they are meeting their sustainability goals. This includes tracking the impact of their environmental and social initiatives and adjusting strategies as

needed. ESG performance reviews can help find successful initiatives, as well as areas that require improvement.

- **Benchmark Against Global Standards:** To ensure continuous improvement, PSBs should benchmark their ESG performance against global peers and international best practices. This will help Indian banks stay competitive in the global market and align with international sustainability trends.

### 8. Strengthen Regulatory Compliance:

- **Stay Ahead of Regulatory Changes:** With the growing focus on sustainability regulations, PSBs should stay initiative-taking in understanding and following current and upcoming ESG-related regulations in India and internationally. This includes aligning with the guidelines set by the Securities and Exchange Board of India (SEBI) and the Reserve Bank of India (RBI).
- **Collaborate with Regulators and Industry Bodies:** PSBs should collaborate with industry bodies, regulators, and other stakeholders to stay abreast of regulatory changes. Initiative-taking engagement with these groups can help banks understand upcoming requirements and adapt their ESG strategies accordingly.

Ensure long-term financial success and improve their ESG performance, Indian PSBs must prioritize sustainability in their operations, improve stakeholder engagement, and focus on transparent governance. By strengthening their ESG practices, PSBs can create lasting value for both their shareholders and society, contributing to the overall growth of the Indian banking sector and the economy.

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# QUESTIONNAIRE

**Section 1: Demographic Information**

1. **Name**: _____
2. **Age**:
   - ☐ Below 25
   - ☐ 25-34
   - ☐ 35-44
   - ☐ 45-54
   - ☐ 55 and above
3. **Gender**:
   - ☐ Male
   - ☐ Female
   - ☐ Prefer not to say
4. **Occupation**:
   - ☐ Bank employee
   - ☐ Customer
   - ☐ Investor
   - ☐ Other (please specify): _____
5. **Years of Experience (if applicable)**:
   - ☐ 0-2 years
   - ☐ 3-5 years
   - ☐ 6-10 years

- ☐ 11 years and above

**Section 2: Awareness and Understanding of ESG**

6. **Are you aware of the term 'ESG' (Environmental, Social, and Governance) in the context of banking?**
   - ☐ Yes
   - ☐ No
7. **How would you rate your understanding of ESG principles?**
   - ☐ Basic understanding
   - ☐ Moderate understanding
   - ☐ Extensive understanding
8. **Which of the following ESG factors do you think is most important for a bank's long-term success?** (Choose one)
   - ☐ Environmental factors (e.g., carbon footprint, sustainability)
   - ☐ Social factors (e.g., customer welfare, financial inclusion)
   - ☐ Governance factors (e.g., transparency, corporate governance)

**Section 3: ESG Practices in Banks**

9. **In your opinion, how committed is your bank to implementing environmental practices (e.g., green finance, energy-efficient operations)?**
   - ☐ Not at all committed
   - ☐ Slightly committed
   - ☐ Moderately committed
   - ☐ Very committed
10. **How well does your bank promote social responsibility (e.g., financial inclusion, community development, customer welfare)?**

- ☐ Poor

- ☐ Fair
- ☐ Good
- ☐ Excellent

**11. Do you think your bank has strong governance policies in place (e.g., transparency, accountability, ethical practices)?**

- ☐ Strongly Disagree
- ☐ Disagree
- ☐ Neutral
- ☐ Agree
- ☐ Strongly Agree

**12. Have you noticed any changes in your bank's operations due to ESG-related practices in recent years?**

- ☐ Yes
- ☐ No
- ☐ Not sure

**13. How satisfied are you with your bank's efforts to promote sustainability and ethical business practices?**

- ☐ Very Dissatisfied
- ☐ Dissatisfied
- ☐ Neutral
- ☐ Satisfied
- ☐ Very Satisfied

**Section 4: Impact of ESG on Financial Performance**

**14. Do you believe that integrating ESG factors can improve a bank's financial performance?**

- ☐ Strongly Disagree
- ☐ Disagree
- ☐ Neutral
- ☐ Agree
- ☐ Strongly Agree

**15. Which aspect of ESG do you think has the most direct impact on a bank's profitability?**

- ☐ Environmental
- ☐ Social
- ☐ Governance

**16. To what extent do you think ESG factors influence customer loyalty and trust in a bank?**

- ☐ No impact
- ☐ Low impact
- ☐ Moderate impact
- ☐ High impact

**17. In your experience, does adherence to ESG principles reduce risks for banks (e.g., reputational, regulatory, operational risks)?**

- ☐ Yes, significantly
- ☐ Yes, to some extent
- ☐ No impact
- ☐ Not sure

**Section 5: Suggestions and Feedback**

**18. What do you think banks could do better in terms of implementing ESG practices?**

19. **Do you have any suggestions for how banks can balance financial performance with ESG goals?**
20. **Any additional comments regarding ESG in the banking sector?**

**Appendix 1**

**Registration Form**

**(To be submitted with synopsis)**

1. Name of the Student: **PRAFUL**

2. Name of the Research: **Academic Research**

3. Name of the details of guide:- **Dr RITIKA SINHA**

4. Proposed Master Thesis area: **Finance and Business Analytics.**

5. Proposed Master Thesis topic : **ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) FACTORS AND THEIR IMPACT ON FINANCIAL PERFORMANCE OF INDIAN BANKING SECTOR**

6. Write a brief note on your topic: (Minimum 100 words);

   The integration of environmental, social and governance factors in the Indian banking sector is important for growth and that will improve financial performance. environmental effort such as green finance(investing in renewable energy etc.) and managing climate risks, social factors such as fair labor practice and community impact and governance makes transparency, accountability and strong risk management. Banks follow ESG principles for better risk mitigation that will increase reputation. Indian banks must prioritize ESG to make better financial stability and ensure long-term growth while contributing to global sustainability goals and ESG integration is becoming important for the sector's growth and stability in the financial environment

**Student's Signature:** **Faculty Guide Signature:**

**Approved or Disapproved If it is disapproved, the reasons for revision ……..**

**POE Signature with date**

**Appendix 2**

# Synopsis

- **Name of the Student:-** PRAFUL
- **Reg. No. of the Student:-** P18UZ22M015036
- **Title of the Master Thesis: -** ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESA) FACTORS AND THEIR IMPACT ON FINANCIAL PERFORMANCE OF INDIAN BANKING SECTOR.
- **Need of the study**:-

  In a study about ESG factors and financial performance there is lack of research on how esg and financial performance impact on Indian banking sector

- **Statement of the problem:-**

  The Indian banking sector is under growing pressure to integrate environmental, social and governance (ESG) factors. Despite the rising importance of ESG considerations, there is a lack of comprehensive research on their impact on the financial performance of Indian banks. Specifically, the relationship between ESG practices and financial outcomes like profitability and cost of capital remains unclear. This research seeks to address this gap by examining how ESG factors influence key financial metrics and providing insights into their effects on the financial health of Indian banks.

- **Objectives:-**

1) To studying he impact of ESG on the financial performance of Indian banks.
2) To analyze how Environmental, Social, and Governance (ESG) factors impact the Indian banking sector.
3) To analyze the impact of ESG factors on the cost of capital for Indian banks.

- **Sampling:-**
  - Sampling size:- minimum 10 Banks data

- **Source of data:-**
  - Official websites, newspapers, journals, secondary websites (such as money control), research papers.

- **Tools for Analyzing data :-**
  - Excel, tableau, MS Word, Python, Programming language R.

**Signature of the Student** **Signature of the Guide**

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## PROGRESS REPORT – 1

| SL.NO | PARTICULARS | INFORMATION |
|---|---|---|
| 1 | Name of the Student | PRAFUL |
| 2 | Registration Number | P18UZ22M015036 |
| 3 | Name of College Guide | DR RITIKA SINHA |
| 4 | Title of Dissertation | ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) FACTORS AND THEIR IMPACT ON FINANCIAL PERFORMANCE OF INDIAN BANKING SECTOR |
| 5 | Progress Report: A brief note on reflecting number of meetings with Guide, places visited, activities taken up, preparations done for the collection and analysis of data. | • Classroom meet- regarding to introduction about the dissertation program<br>• Selecting of titles |

**Date:**

**Signature of the Candidate** **Signature of the College Guide**

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## PROGRESS REPORT – 2

| SL.NO | PARTICULARS | INFORMATION |
|---|---|---|
| 1 | Name of the Student | PRAFUL |
| 2 | Registration Number | P18UZ22M015036 |
| 3 | Name of College Guide | DR RITIKA SINHA |
| 4 | Title of Dissertation | ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) FACTORS AND THEIR IMPACT ON FINANCIAL PERFORMANCE OF INDIAN BANKING SECTOR |
| 5 | Progress Report: A brief note on reflecting number of meetings with Guide, places visited, activities taken up, preparations done for the collection and analysis of data. | Personal meet- submission of synopsis |

**Date:**

**Signature of the Candidate** **Signature of the College Guide**

ಬೆಂಗಳೂರು ನಗರ ವಿಶ್ವವಿದ್ಯಾಲಯ
BENGALURU CITY UNIVERSITY
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BE BOUNDLESS

## PROGRESS REPORT – 3

| SL.NO | PARTICULARS | INFORMATION |
|---|---|---|
| 1 | Name of the Student | PRAFUL |
| 2 | Registration Number | P18UZ22M015036 |
| 3 | Name of College Guide | DR RITIKA SINHA |
| 4 | Title of Dissertation | ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) FACTORS AND THEIR IMPACT ON FINANCIAL PERFORMANCE OF INDIAN BANKING SECTOR |
| 5 | Progress Report: A brief note on reflecting number of meetings with Guide, places visited, activities taken up, preparations done for the collection and analysis of data. | Personal meet- submission of questionnaire and clarification of doubt |

**Date:**

**Signature of the Candidate** **Signature of the College Guide**

ಬೆಂಗಳೂರು ನಗರ ವಿಶ್ವವಿದ್ಯಾಲಯ
BENGALURU CITY UNIVERSITY

## PROGRESS REPORT – 4

| SL.NO | PARTICULARS | INFORMATION |
|---|---|---|
| 1 | Name of the Student | PRAFUL |
| 2 | Registration Number | P18UZ22M015036 |
| 3 | Name of College Guide | DR RITIKA SINHA |
| 4 | Title of Dissertation | ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) FACTORS AND THEIR IMPACT ON FINANCIAL PERFORMANCE OF INDIAN BANKING SECTOR |
| 5 | Progress Report: A brief note on reflecting number of meetings with Guide, places visited, activities taken up, preparations done for the collection and analysis of data. | Personal meet- final review |

**Date:**

**Signature of the Candidate** **Signature of the College Guide**

DrillBit

**DrillBit Similarity Report**

| 18 | 259 | B | A-Satisfactory (0-10%)<br>B-Upgrade (11-40%)<br>C-Poor (41-60%)<br>D-Unacceptable (61-100%) |
|---|---|---|---|
| SIMILARITY % | MATCHED SOURCES | GRADE | |

| LOCATION | MATCHED DOMAIN | % | SOURCE TYPE |
|---|---|---|---|
| 1 | www.rnsfgc.edu.in | 1 | Publication |
| 2 | ir.rblbank.com | <1 | Publication |
| 3 | Thesis Submitted to Shodhganga Repository | <1 | Publication |
| 4 | RC College MBA Report Submitted to Bangalore University by 16ATCMD014-JAGADEESH | <1 | Student Paper |
| 5 | www.slideshare.net | <1 | Internet Data |
| 6 | www.irjmets.com | <1 | Publication |
| 7 | www.adb.org | <1 | Publication |
| 8 | engagedly.com | <1 | Internet Data |
| 9 | Thesis submitted to shodhganga - shodhganga.inflibnet.ac.in | <1 | Publication |
| 10 | www.linkedin.com | <1 | Internet Data |
| 11 | pdfcookie.com | <1 | Internet Data |
| 12 | icmai.in | <1 | Publication |
| 13 | journal.ubm.ac.id | <1 | Internet Data |
| 14 | shura.shu.ac.uk | <1 | Publication |

| | | | |
|---|---|---|---|
| 15 | Thesis Submitted to Shodhganga Repository | <1 | Publication |
| 16 | fastercapital.com | <1 | Internet Data |
| 17 | think360.ai | <1 | Internet Data |
| 18 | www.mdpi.com | <1 | Internet Data |
| 19 | www.slideshare.net | <1 | Internet Data |
| 20 | A STUDY ON FINANCIAL INVESTMENT DECISIONS AT HDFC LTD BY 18XQ1E0003, YR 2020, JNTUH | <1 | Student Paper |
| 21 | Preparedness level of Indian public sector banks for implementation o, by Boora, Krishan; Jan - 2018 | <1 | Publication |
| 22 | investor.iheltata.com | <1 | Publication |
| 23 | sobiad.org | <1 | Publication |
| 24 | www.doaj.org | <1 | Publication |
| 25 | interviewprep.org | <1 | Internet Data |
| 26 | karnatakabank.com | <1 | Publication |
| 27 | ijibm.elitehall.com | <1 | Publication |
| 28 | digitallibrary.loyolacollegekerala.edu.in8080 | <1 | Publication |
| 29 | pdfcookie.com | <1 | Internet Data |
| 30 | REPOSITORY - Submitted to Exam section VTU on 2024-08-01 15-12 1023482 | <1 | Student Paper |
| 31 | REPOSITORY - Submitted to Exam section VTU on 2024-08-14 13-08 1016192 | <1 | Student Paper |

| | | | |
|---|---|---|---|
| 32 | Submitted to Deen Dayal Upadhyay Gorakhpur University, Gorakhpur on 2024-05-07 16-46 | <1 | Student Paper |
| 33 | Thesis Submitted to Shodhganga Repository | <1 | Publication |
| 34 | fastercapital.com | <1 | Internet Data |
| 35 | Thesis Submitted to Shodhganga Repository | <1 | Publication |
| 36 | esai.ie | <1 | Publication |
| 37 | ijcaonline.org | <1 | Publication |
| 38 | CUSTOMER RELATIONSHIP MANAGEMENT BY 19HD1E0006 Yr-2021 SUBMITTED TO JNTU | <1 | Student Paper |
| 39 | esgthereport.com | <1 | Internet Data |
| 40 | journals.iium.edu.my | <1 | Publication |
| 41 | Thesis Submitted to Shodhganga Repository | <1 | Publication |
| 42 | www.iservefinancial.com | <1 | Internet Data |
| 43 | cms.rajyasabha.nic.in | <1 | Publication |
| 44 | users.uoa.gr | <1 | Publication |
| 45 | byjus.com | <1 | Internet Data |
| 46 | www.slideshare.net | <1 | Internet Data |
| 47 | www.sme10x.com | <1 | Internet Data |
| 48 | rosap.ntl.bts.gov | <1 | Publication |
| 49 | c2e2.unepccc.org | <1 | Publication |
| 50 | Thesis submitted to shodhganga - shodhganga.inflibnet.ac.in | <1 | Publication |

| | | | |
|---|---|---|---|
| 51 | The Stability of Islamic and Conventional Banks in the MENA Region Countries Dur by Hamdi-2017 | <1 | Publication |
| 52 | www.gjesm.net | <1 | Publication |
| 53 | www.indianjournals.com | <1 | Publication |
| 54 | REPOSITORY - Submitted to Dibrugarh University on 2024-01-18 08-59 | <1 | Student Paper |
| 55 | ijibm.elitehall.com | <1 | Publication |
| 56 | REPOSITORY - Submitted to Exam section VTU on 2024-08-05 16-53 1010360 | <1 | Student Paper |
| 57 | www.readbag.com | <1 | Internet Data |
| 58 | www.csus.edu | <1 | Publication |
| 59 | www.slideshare.net | <1 | Internet Data |
| 60 | MODELLING SOCIAL ENTERPRISES by SZYMASKA-2016 | <1 | Publication |
| 61 | sajcd.org.za | <1 | Publication |
| 62 | Thesis Submitted to Shodhganga Repository | <1 | Publication |
| 63 | www.allianceberstein.com | <1 | Publication |
| 64 | assets.kpmg.com | <1 | Publication |
| 65 | dokumen.pub | <1 | Internet Data |
| 66 | dspace.bracu.ac.bd | <1 | Publication |
| 67 | knowledge.wharton.upenn.edu | <1 | Internet Data |
| 68 | Thesis Submitted to Shodhganga Repository | <1 | Publication |

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|---|---|---|---|
| 69 | The inroads of literacy in the Hh communities in central Mexico by HAMEL-1996 | <1 | Publication |
| 70 | The Reporting of News in Scandinavian Countries by OLSSON-1973 | <1 | Publication |
| 71 | www.techtarget.com | <1 | Internet Data |
| 72 | www3.weforum.org | <1 | Publication |
| 73 | apmaj.uitm.edu.my | <1 | Publication |
| 74 | authorzilla.com | <1 | Internet Data |
| 75 | Babu Banarasi Das and Banasthali University Paper - www.inflibnet.ac.in | <1 | Student Paper |
| 76 | clutejournals.com | <1 | Publication |
| 77 | dspace.nwu.ac.za | <1 | Publication |
| 78 | dspace.nwu.ac.za | <1 | Publication |
| 79 | epw.in | <1 | Internet Data |
| 80 | igi-global.com | <1 | Publication |
| 81 | jurnal.ibik.ac.id | <1 | Internet Data |
| 82 | pdfcoffee.com | <1 | Internet Data |
| 83 | qdoc.tips | <1 | Internet Data |
| 84 | register.eiopa.europa.eu | <1 | Publication |
| 85 | repository.mdx.ac.uk | <1 | Publication |
| 86 | researchportal.bath.ac.uk | <1 | Publication |
| 87 | www.mdpi.com | <1 | Publication |

**APPENDIX 4**
**MASTER THESIS WORK**
**DAY-WISE WORK REPORT**

| Day | Date | Work Done |
|---|---|---|
| Day 1 | 11-09-2024 | Brief introduction about the master thesis |
| Day 2 | 12-09-2024 | Introduction of the topic |
| Day 3 | 13-09-2024 | Overview about the topic |
| Day 4 | 14-09-2024 | Theoretical background |
| Day 5 | 15-09-2024 | SUNDAY |
| Day 6 | 16-09-2024 | Review of the thesis |
| Day 7 | 17-09-2024 | Explanation for the related topic |
| Day 8 | 18-09-2024 | Chapter 2 introduction |
| Day 9 | 19-09-2024 | GOVERNMENT HOLIDAY (GANESHA FESTIVAL) |
| Day 10 | 20-09-2024 | Literature review |
| Day 11 | 21-09-2024 | Literature review |
| Day 12 | 22-09-2024 | SUNDAY |
| Day 13 | 23-09-2024 | Finding data from online |
| Day 14 | 24-09-2024 | Statement of the problem |
| Day 15 | 25-09-2024 | Research design |
| Day 16 | 26-09-2024 | Sampling framework |
| Day 17 | 27-09-2024 | Tools for the data collection |
| Day 18 | 28-09-2024 | Sampling technique |
| Day 19 | 29-09-2024 | SUNDAY |
| Day 20 | 30-09-2024 | Review meeting with guide |
| Day 21 | 01-10-2024 | Nature of the study |
| Day 22 | 02-10-2024 | GOVERNMENT HOLIDAY (GANDHI JAYANTHI) |
| Day 23 | 03-10-2024 | Questionnaire preparation |
| Day 24 | 04-10-2024 | Data collection for the analysis |
| Day 25 | 05-10-2024 | Chapter 2 editing |
| Day 26 | 06-10-2024 | SUNDAY |
| Day 27 | 07-10-2024 | Review meeting with guide |
| Day 28 | 08-10-2024 | Chapter 2 correction |
| Day 29 | 09-10-2024 | Google form preparation |
| Day 30 | 10-10-2024 | Data collection from the respondents |
| Day 31 | 11-10-2024 | Data collection from the respondents |
| Day 32 | 12-10-2024 | Data collection from the respondents |
| Day 33 | 13-10-2024 | SUNDAY |
| Day 34 | 14-10-2024 | Data collection from the respondents |
| Day 35 | 15-10-2024 | Data collection from the respondents |
| Day 36 | 16-10-2024 | Overview of the respondents |
| Day 37 | 17-10-2024 | Demographic profile of respondents |
| Day 38 | 18-10-2024 | Chapter 4 data analysis and interpretation |
| Day 39 | 19-10-2024 | Data analysis and interpretation |
| Day 40 | 20-10-2024 | SUNDAY |
| Day 41 | 21-10-2024 | Review meeting with guide |
| Day 42 | 22-10-2024 | Chapter 5 |
| Day 43 | 23-10-2024 | Meeting with guide |
| Day 44 | 24-10-2024 | GOVERNMENT HOLIDAY (DUSSEHRA) |
| Day 45 | 25-10-2024 | Front pages final report |